Sample-Question Topics: Deep Dive

Built only around what Prof. Kahn went over deeply: the **sample exam questions** and what she **said in the class recordings**, plus matching slide content on those same topics.

Source tags you'll see:
📄 SAMPLE on the sample exam 🎤 CLASS said in the recorded lectures 📊 SLIDES on the slides for the same topic

HOW EACH TOPIC PAGE WORKS

1. **The sample question** (if any), word for word, so you see how it's asked
2. **Learn it**: the content in plain English, with diagrams and course examples
3. **Exam traps**: how the wrong answers are built
4. **MC practice**: click an answer for instant feedback
5. **Short-answer practice**: write your answer, then compare with the model answer and the rubric

Contents

1. Kahn Matrix (sample exam question topic)
2. Segmentation (sample exam question topic)
3. Brand Architecture (sample exam question topic)
4. Extensions & Luxury (sample exam question topic)
5. Subscription Perks (sample exam question topic)
6. Mass vs Segments (sample exam question topic)
7. Measuring Brands (heavily covered in class)
8. Pricing Basics (heavily covered in class)
9. Pricing Tactics (heavily covered in class)
10. Place & Channels (heavily covered in class)

TOPIC ① · SAMPLE MC #1

Kahn Retailing Success Matrix

📄 SAMPLE **HOW IT WAS ASKED**

“According to the Kahn Success Matrix, Amazon's strategy could be characterized as:”

✔ **Best at Frictionless, leveraging that advantage to be the best at Low Price, and fair value at Brand and Customer Experience**

✘ Best at Customer Experience and brand, fair value on low price and frictionless

✘ Best at Low Price and Brand, fair value at frictionless and customer experience

✘ Best at Customer experience, leveraging that to be best at Brand, fair value at low price and frictionless

Learn it

THE BIG PICTURE IN PLAIN ENGLISH

Prof. Kahn wrote *The Shopping Revolution* because many stores were failing (the “retail apocalypse”). Her question: **why do some retailers win?** Her answer: customers go where they get the **best value on what they care about**. There are only four basic ways to offer superior value. Winners are the **best at one**, use it to become **best at a second**, and are “**good enough**” at the other two.



What you sell (left) vs how you sell it (right)

Quadrant	Plain meaning
Brand	The **products** themselves pull you in: strong brands, great merchandise, design. *Nordstrom, Lululemon, Warby Parker, luxury.*
Experiential	The **shopping itself** is enjoyable: fun, discovery, service, community. *Sephora, Apple Store, Costco's treasure hunt.*

Low Price	**Cheapest**, through super-efficient operations. *Walmart (EDLP), Costco, T.J.Maxx.*
Frictionless	**Easiest**: no lines, fast delivery, everything in one place, personalized with data. *Amazon.*

The rules (memorize these four lines)

1. **Survive:** be at least at **fair value** (customers' minimum expectation) in **all four**. Fall below in any one and customers leave (RadioShack went out of business).
2. **Lead:** be the **best in one** quadrant, then **leverage** that strength to become best in a **second** (the "arrow" strategy).
3. **Don't overspend** on the other two. "Good enough" is enough; extra money there takes resources from your strengths.
4. **The bar keeps rising:** when a leader offers something better (2-day delivery), it becomes everyone's new minimum.

Who wins where (the two-quadrant strategies) 📊 SLIDES/BOOK

Retailer	Started best at…	Leveraged into…	How
Amazon	**Frictionless**	**Low Price**	**"Everything store," data, fast delivery → scale lets it guarantee very low prices**
Walmart	Low Price	Frictionless	EDLP + supply-chain efficiency → bought Jet.com for omnichannel
Warby Parker / Zara	Brand	Low Price	Hip brand + cut out the middleman
Costco / T.J.Maxx	Low Price	Experiential	"Treasure hunt": you never know what you'll find

Luxury brands	Brand	Experiential	Top products need luxurious experiences too
Sephora	Experiential	Frictionless	Try-it-yourself stores + huge loyalty program across store and online

COMMON TRAP

Amazon and Walmart win in the **same two quadrants** (Frictionless + Low Price) but **start from opposite strengths**. Read "best at X, *leveraging* that to be best at Y" carefully: the first named is the starting strength.

In the simulation (Pivot or Perish) 🎤 CLASS

You run **Getchells = Macy's**, a mid-tier department store "**stuck in the middle**." Kahn in class: *"the mid-tier are stuck in the middle... it's the ones stuck in the middle"* that fail; multi-brand stores that pick a clear strategy (Sephora, T.J.Maxx, Walmart, Costco) win. **Fair value = 75% of the leader**. Your spending moves you only if you **outspend competitors** over time ("sluggish"). Levers: online → Frictionless; shopping experience → Experiential; vendor management → Low Price; brand quality → Brand; customer service → both Frictionless and Experiential; analytics = booster. Past teams did best leading in **2** with parity in the other 2.

Practice: multiple choice (10), with answers

MC 1 [SAMPLE EXAM]

According to the Kahn Success Matrix, Amazon's strategy could be characterized as:

- **✔ CORRECT: Best at Frictionless, leveraging that advantage to be the best at Low Price, and fair value at Brand and Customer Experience**
- Best at Customer Experience and brand, and fair value on low price and frictionless
- Best at Low Price and Brand, and fair value at frictionless and customer experience
- Best at Customer experience and leveraging that to be the best at Brand, and fair value at low price and frictionless

EXPLANATION

Amazon's core strength is convenience (huge selection, fast delivery, one-click buying). That scale and data let it also offer very low prices. It only needs to be 'good enough' at being a luxury brand or a fun place to shop.

MC 2 [SLIDES]

Walmart's strategy on the Kahn Matrix is best described as:

- **✔ CORRECT: Best at Low Price, leveraging that to build Frictionless (e.g., buying Jet.com), with fair value in Brand and Experience**
- Best at Frictionless, leveraging that into Low Price
- Best at Brand and Experience
- Best at Experiential, leveraging into Brand

EXPLANATION

Same two quadrants as Amazon, but opposite starting point. Walmart began as the low-price leader through efficient operations (EDLP), then invested in online convenience.

MC 3 [SLIDES]

Costco and T.J.Maxx combine Low Price with which second quadrant?

- ✔ **CORRECT: Experiential: the 'treasure hunt' of never knowing what you'll find**
- Brand: carrying only luxury brands
- Frictionless: fastest delivery
- None; they lead only in Low Price

EXPLANATION

Shopping there is fun because the stock keeps changing, so people come back often. Low price plus a fun experience.

MC 4 [SLIDES]

Warby Parker is a good example of which pairing?

- ✔ **CORRECT: Brand + Low Price**
- Experiential + Frictionless
- Low Price + Frictionless
- Brand + Experiential

EXPLANATION

A cool brand that is also much cheaper than traditional eyewear, because it cut out the middleman by selling direct.

MC 5 [SLIDES]

According to Kahn, what must a retailer do simply to SURVIVE?

- **✔ CORRECT: Reach at least fair value (customers' minimum expectation) in all four quadrants**
- Be the best in all four quadrants
- Lead in at least three quadrants
- Have the lowest price

EXPLANATION

Falling below the minimum anywhere (say, terrible delivery) drives customers away even if you're great elsewhere. RadioShack failed this way.

MC 6 [SLIDES]

Why does Kahn warn against being MORE than 'good enough' in your non-leadership quadrants?

- **✔ CORRECT: Extra spending there drains resources better used on your two leadership strengths**
- Customers dislike retailers that are good at everything
- It lowers fair value for competitors
- It is not allowed in the simulation

EXPLANATION

Money is limited. 'Good enough' suffices in the weaker areas; put the rest into the two areas where you win.

MC 7 [SLIDES]

Why does competing get harder over time on the matrix?

- **✔ CORRECT: When a leader offers something better (2-day delivery), it becomes everyone's new minimum, so the fair-value bar keeps rising**
- Customers' tastes get simpler
- The number of quadrants grows
- Prices always fall to zero

EXPLANATION

Yesterday's competitive edge becomes today's basic expectation. Amazon raised everyone's delivery expectations.

MC 8 [SAID IN CLASS]

In class, Kahn said mid-tier department stores like Macy's (Getchells in the simulation) struggle mainly because:

- **✔ CORRECT: They're 'stuck in the middle': not clearly best at anything**
- Multi-brand retailing can never work
- They have too few stores
- They charge prices that are too low

EXPLANATION

Multi-brand retailers like Sephora, T.J.Maxx, and Costco do great because they lead somewhere. Mid-tier department stores don't stand out on any dimension.

MC 9 [SAID IN CLASS]

In Pivot or Perish, 'fair value' in a quadrant equals:

- **✔ CORRECT: 75% of the leader's score in that quadrant**
- 50% of the average score
- 100% of the leader's score
- A fixed number set in round 1

EXPLANATION

It moves: if the leader improves, the minimum you need rises too.

MC 10 [SAID IN CLASS]

In the simulation, which investment moves you toward Low Price?

- **✔ CORRECT: Vendor management (negotiating lower supplier costs)**
- Shopping experience
- Customer analytics
- Opening more stores

EXPLANATION

Lower costs let you charge lower prices. It's slow to build ('sluggish'), but it's the most reliable long-term lever. Kahn: 'Even if you don't go for a low price strategy, you should be managing costs.'

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Explain the Kahn Retailing Success Matrix and apply it to Amazon and one other retailer of your choice.

What a full-credit answer covers

- Names the 4 quadrants and the 2 axes (product vs experience; add pleasure vs remove pain)
- Fair value in all four to survive; best in one leveraged into a second to lead
- Don't overspend in non-leadership quadrants; expectations ratchet up
- Amazon correctly mapped: Frictionless → Low Price, fair value elsewhere
- Second retailer correctly mapped (e.g., Walmart LP→F; Costco LP+E; Warby B+LP; luxury B+E)

MODEL ANSWER

The matrix crosses two ideas: whether a retailer wins on the products (left) or the shopping experience (right), and whether it adds pleasure (top: Brand, Experiential) or removes pain (bottom: Low Price, Frictionless). To survive, a retailer must meet customers' fair-value minimum in all four. To lead, it must be best in one and leverage that into a second, staying 'good enough' in the other two, because overspending there wastes resources and leaders keep raising the bar. Amazon is best at Frictionless (everything store, data, fast delivery) and used that scale to become a Low Price leader, while being only fair value on Brand and Experience. Costco starts from Low Price (operational efficiency) and adds Experiential through its treasure-hunt assortment that keeps members coming back.

SHORT ANSWER 2 (9 points)

You advise Getchells (Macy's) in Pivot or Perish. Using the Kahn Matrix, how should it choose its strategy?

What a full-credit answer covers

- Diagnosis: mid-tier, stuck in the middle; trails in Frictionless, Experiential, Low Price; strength in brand
- Choose target segments by size, CLV, preferences, AND fit with strengths (STP)
- Pick one leadership quadrant + a complementary second; keep fair value (75% of leader) elsewhere
- Use matching levers (e.g., brand quality/private brands for Brand; shopping experience + service for Experiential) and avoid overspending
- Financial discipline: market value, WACC, don't over-expand stores/debt

MODEL ANSWER

Getchells is a legacy multi-brand store stuck in the middle: strong brand recognition but trailing in Frictionless, Experiential, and Low Price. First pick target segments that are large and valuable (CLV) and whose preferences fit Getchells' strengths, such as segments valuing Brand and Experience, rather than fighting Cadabra/Amazon on online low price. Then lead in one quadrant (e.g., Brand, through high-quality national and private brands) and leverage it into a second complementary one (Experiential, through shopping experience and customer service), while spending just enough to stay at fair value (75% of the leader) in Low Price and Frictionless. Because value is scored on market value, avoid over-expanding stores and debt, which raise WACC.

SHORT ANSWER 3 (9 points)

Why isn't being the best at just ONE quadrant enough anymore, and why shouldn't a retailer try to be best at all four?

What a full-credit answer covers

- Old view: best at one + good enough elsewhere; now competition is too intense
- One-trick leaders get caught: leverage into a second (arrow strategy)
- Customers' expectations ratchet up, so fair value keeps moving
- Being best at all four is impossible/too costly; resources stretched (sim: 3–4 dims = asset-inefficient)
- Example(s)

MODEL ANSWER

Classic strategy said be best at one thing and good enough at the rest. Kahn argues that's no longer sufficient: competition and disruption are so intense that leaders must leverage their first strength into a second (Amazon from Frictionless into Low Price; Costco from Low Price into Experiential). At the same time, trying to be best at all four spreads limited resources too thin and makes you good at nothing. In the simulation, teams that pushed on 3–4 dimensions became asset-inefficient. Customers' expectations also rise as leaders innovate, so you must keep meeting fair value in the other two without overspending there.

TOPIC ② · SAMPLE MC #2

What makes a good segmentation?

📄 SAMPLE **HOW IT WAS ASKED**

"A marketing manager divided her market by residential geography into an eastern and a western segment. Was this a good segmentation scheme?"

✔ **It depends on whether the consumers within each division were relatively homogeneous in their reactions to marketing variables and the two divisions were sufficiently different from each other**

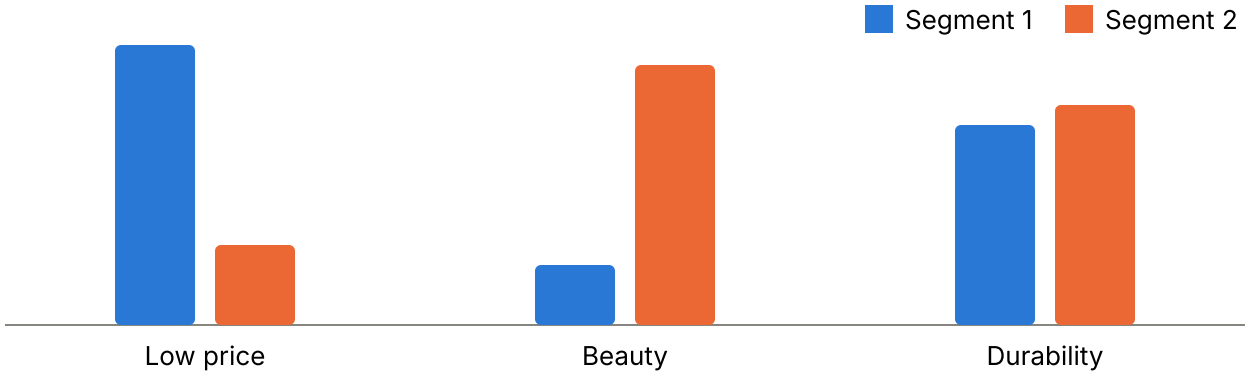
✘ Yes, east and west are distinct, no overlap · ✘ No, geography is never good · ✘ No, hard to observe/reach · ✘ It depends on whether there is sufficient *heterogeneity within* each division

Learn it

PLAIN ENGLISH

Segmentation = splitting a market into groups of customers so you can serve each group well. Why bother? Because different people want different things. If you design for the "average" customer, you design for nobody. Kahn's slide: **"Serving the average buyer well serves no one."**

Two segments care about different things (slide example)



The test for a GOOD segmentation (this is what the sample tests)

✔ **Homogeneous WITHIN**

People in the same group **react the same way** to the 4Ps: same price sensitivity, same message appeal, same channels.

✔ Heterogeneous BETWEEN

The groups are **meaningfully different** from each other, so they deserve different marketing.

Also: **identifiable** (can you tell who's in it?), **reachable** (can you get to them?), big and profitable enough, and **actionable** ("segmentation is only valuable if it is actionable").

WHY EACH WRONG OPTION IS WRONG

- "East and west are distinct, no overlap": being separate on a map doesn't mean they **behave** differently.
- "Geography is never good": too absolute. Geography works when needs truly differ by place (climate, culture).
- "Hard to observe and reach": geography is actually very **easy** to see and reach.
- "Sufficient heterogeneity WITHIN": **backwards**. You want sameness within, difference between. Watch for this flip!

What variables can you segment on? 📊 SLIDES

Type	Consumer examples	B2B examples
Geographic	zip, region, country	zip, region, country
Demographic	age, gender, income, family size, education	industry, company size, sales, R&D budget
Psychographic	personality, lifestyle, media habits	corporate culture, power structure
Attitudinal	**benefits sought, price sensitivity, brand loyalty**	**benefits sought, price sensitivity, supplier loyalty**
Behavioral	usage occasion, usage rate, repeat buying / CLV	applications, order size, existing relationships

BENEFIT SEGMENTATION = BEST, BUT TRICKY

People buy different products because they want **different benefits**. But you **can't see** what someone wants. So find **visible variables that go along with** the benefit sought (which aisle

they shop, how often they buy).

WHY GENDER IS A WEAK SHORTCUT

"Tactical, but is it strategic?" ① Stereotypes everyone in the group. ② Shrinks your market and may alienate people. ③ People fit neat categories less and less. ④ Can seem unfair. Note: gender IS easy to observe, so that isn't the problem.

Quidel: the model example of segmentation done right 📊 SLIDES

Same pregnancy test, two groups with opposite hopes, so **every one of the 4Ps** differed:

	"Hopefuls" (want a baby)	**"Fearfuls" (don't)**
Who	older, more money, likely married	younger, less money, maybe single
Promise	simplest, most trusted way to know your family will grow	peace of mind in 30 seconds
Where	pregnancy-test aisle	birth-control aisle
Extensions	ovulation tests	strep, chlamydia self-tests
Price	**$9.49**	**$6.99**

"Firms do not create segments, they **uncover** them." In the simulation you get 6 segments with size, CLV, and preferences, and you **choose** which to target. 🎤 CLASS

Practice: multiple choice (9), with answers

MC 1 [SAMPLE EXAM]

A marketing manager wanted to segment her market. She divided it by residential geography into an eastern segment and a western division. Was this a good segmentation scheme?

- **✔ CORRECT: It depends on whether the consumers within each division were relatively homogeneous in their reactions to marketing variables and the two divisions were sufficiently different from each other**
- Yes, because east and west are distinct segments, there is no overlap
- No, because geography is never a good way to segment a market
- No, because these are segments that are hard to observe and hence would be hard to reach
- It depends on whether there is sufficient heterogeneity within each geographic division

EXPLANATION

A good segment = people who respond the SAME way inside the group, and DIFFERENTLY from the other group. Being on different sides of a map doesn't guarantee that. The last option is a trap: it flips 'within' and 'between.'

MC 2 [SLIDES]

The phrase 'serving the average buyer well serves no one' means:

- **✔ CORRECT: Different groups weigh attributes differently, so a product built for the 'average' fits no real group well**
- Average buyers are unprofitable
- Firms should only target the richest buyers
- Mass marketing is illegal

EXPLANATION

If one group wants low price and another wants beauty, a product designed for the middle satisfies neither.

MC 3 [SLIDES]

Benefit segmentation is the most meaningful but hardest to use because:

- **✔ CORRECT: You can't directly see what benefit someone wants, so you need visible variables that correlate with it**
- Benefits are identical across people
- It is too cheap
- It only works for B2B

EXPLANATION

Wants live in people's heads. Marketers use visible clues, like which aisle someone shops or how often they buy, that go along with those wants.

MC 4 [SLIDES]

Which is NOT one of Kahn's criticisms of using gender as a segmentation shortcut?

- **✔ CORRECT: Gender is hard to observe**
- It stereotypes everyone in the group
- It shrinks the market and may alienate people
- It can seem unfair

EXPLANATION

Gender is easy to see, which is exactly why it's tempting. The problems are stereotyping, alienation, people not fitting boxes, and fairness.

MC 5 [SLIDES]

In the Quidel case, what made the segmentation actionable?

- **✔ CORRECT: Each segment ('Hopefuls' vs 'Fearfuls') got a different positioning, aisle, extensions, and price**
- Both segments got the same product and ad
- It segmented by gender
- It ignored the 4Ps

EXPLANATION

Segments are only useful if you act on them. Quidel changed all four Ps for each group, e.g., $9.49 in the pregnancy aisle vs $6.99 in the birth-control aisle.

MC 6 [SLIDES]

'Firms do not create segments, they _____ them.'

- **✔ CORRECT: uncover**
- advertise
- price
- merge

EXPLANATION

Groups with different needs already exist. Research reveals them.

MC 7 [SLIDES]

Usage rate, usage occasion, and repeat purchasing (CLV) are which type of segmentation variable?

- ✔ **CORRECT: Behavioral**
- Demographic
- Psychographic
- Geographic

EXPLANATION

Behavioral = what people actually DO with the product. Demographic = who they are (age, income). Psychographic = personality and lifestyle.

MC 8 [SLIDES]

On the targeting grid, a segment that's highly attractive but a POOR fit with your company is labeled:

- ✔ **CORRECT: Beware shake-out**
- Perfect!
- Domination is essential
- Stay away

EXPLANATION

Attractive markets draw strong rivals; if you don't fit well, you'll be pushed out when the market gets crowded.

MC 9 [SAMPLE EXAM]

Geography would be a GOOD segmentation basis when:

- **✔ CORRECT: Needs and responses to marketing truly differ by location (e.g., climate, culture)**
- Customers live in different zip codes
- It is easy to draw a map
- There are exactly two regions

EXPLANATION

Location only matters if it changes what people want or how they respond. Snow-tire buyers really do differ by region.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

A sneaker company segments its market by age: under 30 vs. 30+. Evaluate whether this is a good segmentation scheme.

What a full-credit answer covers

- States the criteria: homogeneous within, heterogeneous between in response to marketing variables
- Applies them: do under-30s respond similarly (price, style, channels)? Do they differ from 30+?
- Notes age is observable and reachable (easy), but may be a demographic shortcut that misses benefits sought
- Suggests benefit/behavior-based alternatives (performance runners vs fashion buyers) with observable proxies
- Concludes 'it depends' with a test, and mentions actionability (different 4Ps per segment)

MODEL ANSWER

It depends. A segmentation is good only if people within each group respond similarly to the marketing mix and the groups differ from each other. Age is easy to observe and reach, but it's a demographic shortcut. Many under-30s buy for fashion while others buy for performance running, and plenty of 30+ buyers share those same needs, so the groups may be mixed inside and similar between. A better approach segments by benefit sought (performance vs. style vs. comfort) and finds observable proxies (store type, usage rate, sports participation). If research showed under-30s really do differ in price sensitivity, style preferences, and channels, the age split could work, as long as each segment gets its own 4Ps.

SHORT ANSWER 2 (9 points)

Is gender a good basis for segmentation? Discuss.

What a full-credit answer covers

- Pro: easy to observe, reach, and act on (tactical)
- Con: stereotyping
- Con: shrinks market / alienates
- Con: people fit categories less; fairness concerns
- Better: benefit/behavior segmentation with observable correlates; conclusion

MODEL ANSWER

Gender is tempting because it's easy to observe and target, but Kahn calls it 'tactical, but is it strategic?' It assumes everyone of one gender wants the same thing, which risks stereotyping. It can shrink the market and alienate people outside the target. Consumers fit neat categories less and less, and it can seem unfair that some people get different offerings. A stronger approach segments by the benefit people seek and uses observable behaviors that correlate with that benefit. Gender can be a helpful proxy only when research shows needs truly differ.

SHORT ANSWER 3 (9 points)

Using the Quidel example, explain how segmentation should drive the marketing mix.

What a full-credit answer covers

- Describes the two segments and their opposite needs (Hopefuls vs Fearfuls)
- Different positioning statements
- Place: different aisles
- Product extensions and price differences ($9.49 vs $6.99)
- Lesson: segments must be actionable; the same physical product can have different value

MODEL ANSWER

Quidel's CEO realized the company couldn't be all things to all people. Pregnancy-test buyers split into 'Hopefuls' (trying to conceive; older, more income, likely married) and 'Fearfuls' (hoping not to be pregnant; younger, less income, possibly single). The same test therefore got two marketing mixes. Hopefuls: 'the simplest, most trusted way of knowing when your family will grow,' sold in the pregnancy aisle at $9.49, extended to ovulation tests. Fearfuls: 'a reliable source of peace of mind in 30 seconds,' sold in the birth-control aisle at $6.99, extended to STD self-tests. Segmentation pays off only when it is actionable: each segment's needs drive every P.

TOPIC ③ · SAMPLE MC #3

Brand Architecture: House of Brands vs Branded House

📄 SAMPLE **HOW IT WAS ASKED**

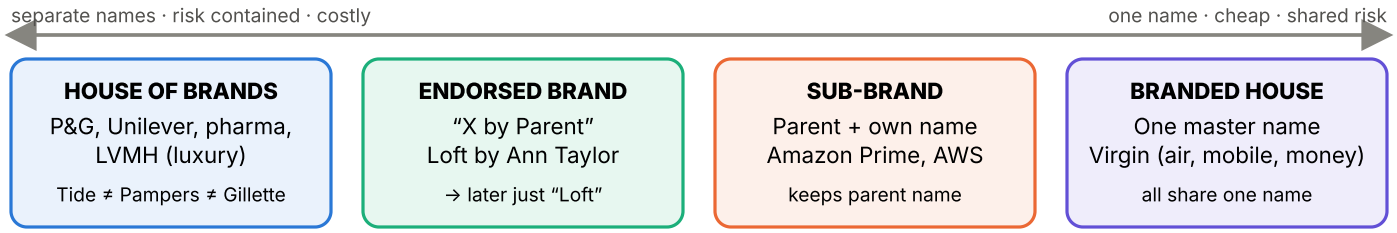
"...a firm very concerned about managing risk across their portfolio of brands. They have a division that invests in new, risky technologies; they want to make sure their more established brands are protected from problems that may arise if these new technologies fail. Which brand strategy would you expect?"

✔ **House of brands** · ✘ Branded house · ✘ Brand repositioning · ✘ Brand identity

Learn it

PLAIN ENGLISH

Brand architecture = how a company with many products organizes their names. Does everything carry ONE company name, or does each product get its OWN name? It's a trade-off between **saving money by sharing one famous name** and **protecting each brand from the others' problems**.



	✔ Pros	✘ Cons
House of Brands	Each brand can own its own segment; **a failure doesn't spread**; no dilution of other names	**Most expensive** (build every brand from scratch); brands may compete with each other
Endorsed	Borrows the parent's credibility; keeps its own identity; can "graduate" later	Bad news about the parent rubs off (negative spillover)

Sub-brand	Balances independence with the parent's equity	Can dilute the master brand if managed badly
Branded House	**Strongest single brand; cheapest to market** (every ad builds one name)	**One failure can hit the whole brand**

What Prof. Kahn said in class 🎤 CLASS

- "A house of brands is all new brands. Like **P&G**... they own a million different soap brands. But they don't leverage their brand name." Pharma and luxury do it too.
- Why? "They don't want to dilute the value of any brand name, and they're targeting different segments." **Pharma**: "there's too much risk. If one brand, God forbid, kills people, you don't want that to affect the whole portfolio." ← **this is the sample-question logic**
- "A **branded house** is obviously **cheaper** because I'm just building one brand."
- **Endorsed**: Ann Taylor's customers aged, so it launched "Loft by Ann Taylor"; as Ann Taylor got "older and tireder," they dropped it, and Loft is just Loft.
- **Sub-brand**: "you're planning on keeping the name the whole time," but growing into different segments.
- **LVMH** owns many luxury names without extending them, but gets **synergies**: back office, advertising dollars, real estate (best store locations, all together), and hiring designers who can move between brands.
- **Toyota → Lexus**: a new name because stretching "Toyota" into luxury wouldn't work. Kia is trying to move up under its own name.

GOALS OF ANY BRAND ARCHITECTURE

Strong brands · Synergy · Clarity · Leverage **Amazon** uses all four types at once (branded house: Amazon Basics; sub-brands: Prime, AWS; endorsed: Audible; house of brands: Zappos, Whole Foods, Twitch).

WHY THE SAMPLE'S DISTRACTORS ARE WRONG

"Brand repositioning" (changing what a brand means) and "brand identity" (what it stands for) are **not ways to organize a portfolio**. When the question says "protect established brands from a risky division," think **separate names = House of Brands**.

Practice: multiple choice (9), with answers

MC 1 [SAMPLE EXAM]

Imagine you are considering a job with a firm very concerned about managing risk across its portfolio of brands. It has a division investing in new, risky technologies and wants its established brands protected if those technologies fail. Which brand strategy would you expect?

- ✔ **CORRECT: House of brands**
- Branded house
- Brand repositioning
- Brand identity

EXPLANATION

Separate names act like firewalls: if the risky product fails, the other brands aren't stained. With one shared name (branded house), one failure hits everything.

MC 2 [SAID IN CLASS]

Why, according to Kahn, do pharmaceutical companies use a house-of-brands strategy?

- ✔ **CORRECT: Risk: if one drug harms people, it shouldn't damage the whole portfolio**
- It's the cheapest way to market
- Regulations require one master brand
- Doctors prefer one company name

EXPLANATION

'If one brand, God forbid, kills people, you don't want that to affect the whole portfolio.' Same logic as the sample question.

MC 3 [SAID IN CLASS]

The main advantage of a branded house (e.g., Virgin) is:

- **✔ CORRECT: It's cheaper: every dollar builds one brand**
- Failures are contained
- Each brand can own a separate segment
- There's no risk of dilution

EXPLANATION

'A branded house is obviously cheaper because I'm just building to one brand.' The downside is shared risk.

MC 4 [SAID IN CLASS]

'Loft by Ann Taylor' later became just 'Loft.' This shows:

- **✔ CORRECT: An endorsed brand that later stood on its own**
- A sub-brand
- A branded house
- A line extension

EXPLANATION

An endorsed brand borrows the parent's credibility at first. When Ann Taylor's image got 'older and tireder,' they removed it.

MC 5 [SAID IN CLASS]

A sub-brand differs from an endorsed brand because a sub-brand:

- **✔ CORRECT: Plans to keep the parent name permanently while growing into new segments**
- Always drops the parent name
- Uses no brand name
- Is only used in pharma

> **EXPLANATION**
> Sub-brand: 'you're planning on keeping the name the whole time' (Amazon Prime). Endorsed: the new brand may eventually go off on its own.

MC 6 [SAID IN CLASS]

LVMH owns many separate luxury brands. What does it gain without sharing one name?

- **✔ CORRECT: Synergies: back office, ad buying, prime store locations, and moving designers between brands**
- Lower prices
- A single master brand
- Protection from all competition

> **EXPLANATION**
> A house of brands can still share behind-the-scenes advantages.

MC 7 [SAID IN CLASS]

Toyota launched its luxury cars as 'Lexus' because:

- **✔ CORRECT: Stretching 'Toyota' into luxury wouldn't be credible and could dilute both**
- Lexus cars are made in a different country
- Toyota's name was trademarked
- Luxury buyers prefer longer names

EXPLANATION

When an existing name can't stretch, use a new one, even though it costs more.

MC 8 [SLIDES]

Which is NOT one of the goals of any brand architecture?

- **✔ CORRECT: Lowest possible price**
- Strong brands
- Synergy
- Clarity and leverage

EXPLANATION

The four goals: strong brands, synergy, clarity, leverage.

MC 9 [SLIDES]

Amazon uses Amazon Basics, Prime/AWS, 'Audible, an Amazon company,' and Zappos/Whole Foods. This shows Amazon:

- **✔ CORRECT: Uses a hybrid of all four architecture types**
- Is a pure house of brands
- Is a pure branded house
- Has no brand architecture

EXPLANATION

Branded house (Amazon Basics), sub-brands (Prime, AWS), endorsed (Audible), house of brands (Zappos, Whole Foods).

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

When should a company use a House of Brands versus a Branded House? Discuss the trade-offs, including endorsed brands and sub-brands.

What a full-credit answer covers

- House of brands: distinct segments, contains risk, avoids dilution; most expensive, internal competition (P&G, pharma)
- Branded house: cheapest, strongest single equity; one failure hits all (Virgin)
- Endorsed (credibility, spillover risk; Loft) and sub-brand (keeps parent name; can dilute)
- Decision factors: risk level, how different the segments are, budget, whether the name can stretch
- Goals: strong brands, synergy, clarity, leverage; example (Amazon hybrid, LVMH synergies)

MODEL ANSWER

It's a trade-off between leverage and risk. A Branded House (Virgin) puts one name on everything. It's the cheapest, since every ad builds one brand, and gives the strongest single equity, but one failure can hurt everything and stretching too far blurs the meaning. A House of Brands (P&G, pharma, LVMH) gives each product its own name, so each can target a distinct segment and failures are contained ('if one drug, God forbid, kills people...'). It's the most expensive and brands may compete with each other, though LVMH still gains back-office, advertising, real-estate, and talent synergies. In between, endorsed brands borrow parent credibility (Loft by Ann Taylor) but risk spillover, and sub-brands keep the parent name (Prime) but can dilute it. Choose based on risk, segment differences, budget, and whether the parent name fits.

SHORT ANSWER 2 (9 points)

A trusted consumer-electronics brand wants to launch an experimental AI device that might fail publicly. Recommend a brand architecture and justify it.

What a full-credit answer covers

- Identifies the risk of failure spilling over to the core brand
- Recommends a separate brand (house of brands) or an endorsed approach with clear reasoning
- Weighs the cost of building a new name vs the benefit of the parent's credibility
- Mentions the option to bring it under the parent name later if successful (Loft in reverse / graduation)
- Links to the sample logic (protect established brands) and goals (clarity, strong brands)

MODEL ANSWER

Because the device is experimental and could fail publicly, I'd protect the core brand by launching it under a separate name (house-of-brands logic, like the sample question's risky-technology division). A failure then stays contained. If the product needs credibility to get trial, a light endorsement ('from X') could help, but that brings back some spillover risk, so I'd use it only after early testing goes well. A separate brand costs more to build, so I'd keep the launch focused on early adopters. If it succeeds, the company can later bring it closer to the parent brand as a sub-brand to leverage synergy.

SHORT ANSWER 3 (9 points)

Explain why Toyota created Lexus while Kia is moving upmarket under its own name. What determines which approach works?

What a full-credit answer covers

- Vertical extension upward is hard: credibility of a mass name at luxury prices
- Toyota → new name protects both brands (no dilution, credible luxury positioning); costs more
- Kia: leverages existing equity, cheaper, but must overcome its value image (risky)
- Two-way test: the parent name must add value and the extension must add value back
- Conclusion on what decides it: brand perception, target segment, budget

MODEL ANSWER

Moving a brand up in price is a vertical extension, and it's hard because luxury buyers may not believe a mass-market name can be premium. Toyota judged that 'Toyota' would neither add value at luxury prices nor benefit from the stretch, so it created Lexus: more expensive to build, but credible, and it protects both brands. Kia is trying to move up under its own name, which leverages existing equity and costs less, but it must overcome a value image. Kahn: 'Is this gonna work? I don't know.' What decides it is the two-way test: does the parent name add value to the new product, and does the product enhance the parent? That depends on how customers currently see the brand, the target segment's expectations, and the budget for building a new name.

TOPIC ④ · SAMPLE SHORT ANSWER #1

Brand Extensions: Long-Term Equity vs Short-Term Revenue

📄 SAMPLE **THE QUESTION & THE GRADING NOTES**

"Luxury brands like Gucci or Hermès have been careful with extensions, while others like Pierre Cardin overextended and lost equity. How should managers evaluate the **long-term brand equity impact vs. short-term revenue gains** of extensions?"

Grading notes: Assess whether the extension **reinforces or dilutes prestige/scarcity**. Short-term revenue may boost profits, but if it erodes luxury positioning by going too far into the mass market, it's not worth it long term. A good answer recognizes the **costs to long-term brand equity, not just maximizing short-term profit**, and specifically mentions the **luxury issue**: a brand that becomes **too accessible or too available loses its cachet, and with it its luxury premium**.

Learn it

PLAIN ENGLISH

A **brand extension** puts a famous name on a new product (Clorox bleach → Clorox wipes). It's tempting because the name already has fans, so the launch is cheap and sales come fast. The danger: if the new product doesn't fit, it **waters down** what the name means. For luxury, the name means "rare, special, expensive." Put it on too many cheap things and it stops meaning that, so people stop paying the luxury price.

Why extend? Two advantages 🎤 CLASS

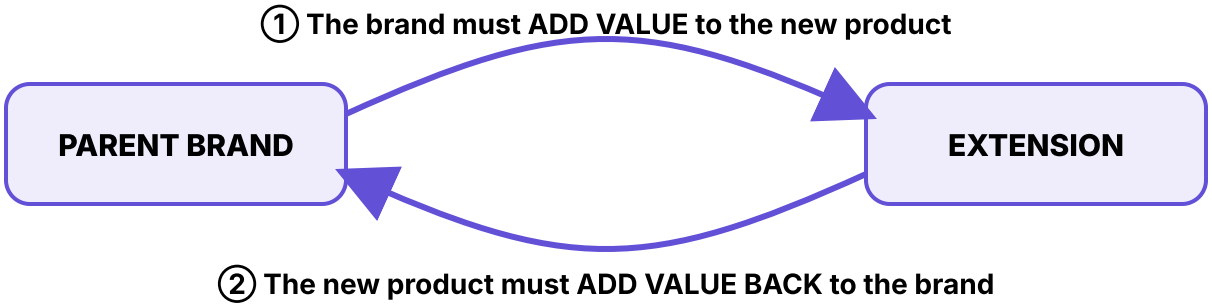
① Leverage the equity

"It's much cheaper to introduce a new product if you come in with the same brand name."

② Move the brand

Use the new product to refresh or shift what the brand means, e.g., reach younger customers. “This is exactly what **Mountain Man** is about”: an older-skewing beer trying to win young drinkers.

The two-way test (the heart of every extension answer) 🎤 CLASS



Kahn: *“You never extend a brand if it's weak. It's gotta add value... And you also never extend a brand if it's gonna weaken the original one. So you've gotta have two strong links.”* If either link fails, launch a **new brand**: more expensive, but safe.

Horizontal vs vertical extensions 🎤 CLASS 📊 SLIDES

Horizontal

New **category**, **similar price**. Clorox → wipes; Starbucks → bottled Frappuccino. **Lululemon women → men** worked (women bought the men's clothes first; Kahn admits she wrongly predicted Wall Street guys wouldn't wear it). **Risk:** stretch in too many directions and “you've lost what it originally meant.”

Vertical

Same category, **higher or lower price**. BMW $160k vs $31.5k. **Going down** sells volume but can damage the top; **going up** may not be believable. Toyota made **Lexus** instead of “luxury Toyota.” Kia is trying to move up under its own name. Can Amazon sell luxury? Kahn has doubts.

Why luxury is special

Scarcity & exclusivity
Hard to get = desirable

Heritage
“You cannot be European luxury unless you're European luxury”: 200 years of legacy is a lasting advantage 🎤

Price premium
Perfume: 90–95% of the purchase decision is the brand 📊

PIERRE CARDIN VS HERMÈS/GUCCI
Pierre Cardin licensed its name onto many mass products: **big short-term licensing revenue**, but the name became **everywhere and ordinary**, so it lost its luxury cachet and premium. Hermès and Gucci extend only into categories and price tiers that keep the brand rare and prestigious.

How to evaluate it: a framework for your essay

1. **Fit with positioning:** does the extension **reinforce or dilute** what the brand stands for (prestige, scarcity)?
2. **Two-way test:** does the brand help the product AND does the product help the brand?
3. **Direction:** horizontal (new category) or vertical (down-market is the luxury danger zone)?
4. **Short-term gain:** extra revenue and a cheaper launch, but beware **cannibalization** of the core.
5. **Long-term cost:** lost price premium and brand value. Measure it: price premium, BAV differentiation/esteem, Interbrand value.
6. **Alternatives:** a new brand, an endorsed brand, or a sub-brand if the name can't stretch.

Keep the brand fresh without extending too far 🎤 CLASS

Schweppes was old and tired during the COVID craft-cocktail boom → repositioned on **heritage**, made modern. **Pepsi** stays young through music (incubating young musicians). **Porsche** uses gaming showrooms so young people dream of owning one. **Louis Vuitton × Supreme**: an edgy collaboration. Last resort: a **silver bullet** (radical, risky). Problem: "young people are always rebelling about what their parents do."

Practice: multiple choice (9), with answers

MC 1 [SAMPLE EXAM]

Pierre Cardin licensed its name onto many mass-market products and lost equity. The core problem was:

- **✔ CORRECT: The brand became too accessible and available, so it lost its prestige and its luxury price premium**
- It didn't extend into enough categories
- Its extensions were too expensive
- It used a house of brands

EXPLANATION

Luxury depends on being rare and special. Short-term licensing money came at the cost of long-term brand value.

MC 2 [SAID IN CLASS]

According to Kahn, a brand extension should go ahead only if:

- **✔ CORRECT: The brand adds value to the extension AND the extension adds value back to the brand**
- It generates revenue in year one
- It uses a new brand name
- It is priced lower than the original

EXPLANATION

'You've gotta have two strong links.' Never extend a weak brand, and never extend if it weakens the original.

MC 3 [SAID IN CLASS]

What are the two advantages of a brand extension Kahn named in class?

- **✔ CORRECT: Cheaper launch by leveraging equity, and the ability to move or refresh the brand**
- Higher prices and lower costs
- Avoiding all risk and competition
- More SKUs and more shelf space

EXPLANATION

Mountain Man: use an extension to reach younger drinkers (moving the brand), and do it more cheaply than a new brand.

MC 4 [SLIDES]

Clorox moving from bleach into disinfecting wipes at a similar price level is a:

- ✔ **CORRECT: Horizontal extension**
- Vertical extension
- Repositioning
- House of brands

EXPLANATION

Horizontal = new category, similar price. Vertical = same category, higher or lower price/quality.

MC 5 [SAID IN CLASS]

Lululemon expanding from women's to men's apparel is an example of:

- ✔ **CORRECT: A horizontal extension that leveraged the brand's equity**
- A vertical downward extension
- A new brand
- A silver bullet

EXPLANATION

Kahn admitted she thought Wall Street men wouldn't wear Lululemon and was 'dead wrong.' Women buying the men's clothes helped it start.

MC 6 [SAID IN CLASS]

A luxury car brand launches a much cheaper model under the same name. The biggest risk is:

- **✔ CORRECT: Damaging the prestige of the high-end models**
- Too little volume
- Customers refusing to compare
- Lower brand awareness

EXPLANATION

Going down sells more cars but 'does it do damage to the $200,000' one? Vertical extensions downward are the luxury danger zone.

MC 7 [SAID IN CLASS]

During the COVID craft-cocktail boom, Schweppes successfully repositioned by:

- **✔ CORRECT: Building on its heritage and legacy, presented in a modern way**
- Cutting price below store brands
- Changing its name
- Launching a phone app

EXPLANATION

Legacy differentiates, like luxury's 200-year heritage. Kahn: ideally keep the brand modern all along so you don't need a big repositioning.

MC 8 [SLIDES]

Which is NOT a way Kahn described for keeping a brand young?

- ✔ **CORRECT: Discounting the core product heavily**
- Pepsi incubating young musicians
- Porsche gaming showrooms
- Louis Vuitton × Supreme collaboration

EXPLANATION

Options: branded experiences, collaborations, music and culture, extensions, or a risky 'silver bullet.' Discounting doesn't build relevance.

MC 9 [SAID IN CLASS]

If an extension fails the two-way test, Kahn's alternative is to:

- ✔ **CORRECT: Come out with a new brand name (more expensive but safer)**
- Extend anyway and cut price
- Drop the original brand
- Use the same name on everything

EXPLANATION

'If you can't do it, you might think about coming up with a new brand name... The problem, of course, is it's expensive.'

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Luxury brands like Gucci or Hermès have been careful with extensions, while others like Pierre Cardin overextended and lost equity. How should managers evaluate the long-term brand equity impact vs. short-term revenue gains of extensions?

What a full-credit answer covers

- Long-term brand equity must be weighed, not just short-term profit
- Does the extension reinforce or dilute prestige/scarcity (fit with positioning)?
- Luxury mechanism: too accessible/available → loses cachet → loses price premium
- Contrast Hermès/Gucci vs Pierre Cardin
- How to evaluate: two-way test, vertical-down risk, measure equity (price premium, BAV, Interbrand), alternatives (new or endorsed brand)

MODEL ANSWER

Managers should treat the brand as a long-lived asset and judge an extension by its effect on long-term equity, not just this year's revenue. The key question is whether the extension reinforces or dilutes what the brand stands for. For luxury, that's prestige and scarcity, which support the price premium. An extension that moves into the mass market brings quick sales but makes the brand too accessible, so it loses its cachet and the premium with it. That's what happened to Pierre Cardin, while Hermès and Gucci extend only where the brand stays rare. Use Kahn's two-way test: the brand must add value to the extension and the extension must add value back. Be especially careful with downward vertical moves. Track the price premium or brand-strength measures over time. If the stretch fails the test, use a separate or endorsed brand instead.

SHORT ANSWER 2 (9 points)

An older-skewing beer brand (like Mountain Man) wants younger drinkers. Should it launch an extension under its name or a new brand? What should decide it?

What a full-credit answer covers

- Extension pros: leverage equity (cheaper), can move/refresh the brand
- Two-way test; never extend a weak brand or one the extension would weaken
- Risks: the name may feel old to young drinkers (they rebel against their parents' brands); may alienate the core / cannibalize
- Alternatives: endorsed brand, sub-brand, new brand (cost vs fit)
- Clear recommendation with conditions/research

MODEL ANSWER

An extension is cheaper because it leverages existing equity, and it can move the brand toward younger drinkers, which is exactly Mountain Man's dilemma. But it must pass the two-way test: the name has to add value for young drinkers, and the new beer has to add value back to the core brand. Young people often rebel against their parents' brands, so an old-feeling name may add little, while a trendy product could alienate loyal core drinkers or cannibalize the flagship. I'd research how young drinkers see the brand. If it has credible equity they respect, such as authenticity or heritage (the Schweppes approach), extend. If not, use an endorsed brand or a new brand: more expensive, but it protects the core.

SHORT ANSWER 3 (9 points)

Compare horizontal and vertical brand extensions, with risks and examples from class.

What a full-credit answer covers

- Horizontal: new category, similar price (Clorox, Starbucks, Lululemon men)
- Horizontal risk: stretching in too many directions dilutes meaning
- Vertical: same category, up or down in price (BMW 760Li vs 128i)
- Vertical risks: going down damages the top; going up may lack credibility (Toyota → Lexus; Kia)
- Ties back to the two-way test / luxury

MODEL ANSWER

A horizontal extension takes the brand into a new category at about the same price: Clorox from bleach to wipes, Starbucks to bottled drinks, Lululemon from women to men. It leverages equity cheaply, but if you stretch in too many directions 'you've lost what it originally meant.' A vertical extension moves the brand up or down in price within its category, like BMW's $160,000 and $31,500 cars. Going down brings volume but can damage the premium models. Going up may not be believable, which is why Toyota created Lexus, while Kia is attempting it under its own name. In both cases the test is whether the brand adds value to the extension and the extension strengthens the brand.

TOPIC ⑤ · SAMPLE SHORT ANSWER #2

Subscription Programs & Perks: Unintended Consequences

📄 SAMPLE **THE QUESTION & THE GRADING NOTES**

"Many companies offer free shipping, gifts and exclusive deals as part of their subscription program. What are two potential unintended consequences of including such features?"

Grading notes: Perks can increase signups, but they also risk **eroding margins** and **training customers to expect discounts**. Some customers may **only make purchases when offers are available**, **reducing the program's incremental value** and possibly **cannibalizing full-price sales**.

Learn it

PLAIN ENGLISH

A **subscription or membership program** (Amazon Prime, Costco membership) charges a fee and gives perks. Companies love them because members **stay longer and buy more**. But every perk costs money, and perks change how customers behave. Sometimes the program just gives discounts to people who would have bought anyway.

Why companies want subscriptions: the CLV logic 📊 SLIDES

```
CLV = m × r ÷ (1 + i − r) − AC
m = yearly profit per customer   r = % who stay each year   i = discount rate (10%)   AC = cost to acquire
```

Higher retention (r) makes each customer worth much more: at r = 80% the multiplier is **2.67×**; at Costco's ~**92%** renewal rate it's **5.1×**. That's why memberships are so valuable.

The catch, in numbers (worked example)

Scenario	Margin m	Retention r	CLV = m·r/(1.1−r)

No perks	$100	80%	**$266.67**
Perks cost $25/yr, retention rises to 85%	$75	85%	**$255.00** ↓ worse!
Perks cost $25/yr, retention rises to 88%	$75	88%	**$300.00** ↑ better

LESSON

Perks pay off **only if they raise retention enough** to beat the margin they cost. Here, retention must rise from 80% to about **86%** just to break even. Higher sign-ups alone don't prove the program works.

The unintended consequences (name at least two, explained)

① Margin erosion

Free shipping, gifts, and deals cost money **on every order**. Heavy users cost the most (lots of free shipping). m goes down.

② Trained to expect discounts

Customers' **reference price** drops: full price starts to feel unfair, and they wait for deals.

③ Deal-seekers, low incrementality

Some join **only for the perks** and buy only when offers exist. Much of the “extra” sales would have happened anyway.

④ Cannibalizing full-price sales

Loyal customers who'd pay full price now get the discount: money given away for nothing.

What Prof. Kahn said about loyalty and price 🎤 CLASS

A student suggested discounting loyal high-volume customers. Kahn: **“Oh, you do that? Not me. I raise price.”** Loyal customers are **less price-sensitive**. American Airlines in Philly: loyal flyers keep paying “crazy” prices for small benefits (“three peanuts”). “It's really surprising **how much price desensitivity** happens if you think you're getting a benefit in a certain kind of loyalty program.”
Subscriptions are a **three-part tariff** (second-degree price discrimination): an intro price to get in, then different prices depending on how much you buy. Freemium is **penetration** pricing.

BETTER DESIGNS (TO END YOUR ANSWER STRONGLY)

Tie perks to **tiers** or spending thresholds · use **non-price perks** (access, experiences, service) instead of discounts · **measure incrementality** (compare members vs a control group) · keep full-price integrity, especially for premium or luxury brands.

Practice: multiple choice (8), with answers

MC 1 [SAMPLE EXAM]

A company adds free shipping, gifts, and exclusive deals to its subscription program. Which is a likely UNINTENDED consequence?

- **✔ CORRECT: Margins erode and customers are trained to expect discounts, buying only when offers exist**
- Retention automatically falls
- The brand becomes a house of brands
- Acquisition cost drops to zero

EXPLANATION

Perks bring sign-ups but cost money on every order and teach people to wait for deals.

MC 2 [SAMPLE EXAM]

Why might a perk-heavy subscription program have LOW 'incremental value'?

- **✔ CORRECT: Many purchases would have happened anyway, and some members buy only when deals are offered**
- It has too few members
- Perks always increase full-price sales
- Subscriptions can't be measured

> **EXPLANATION**
> 'Incremental' = sales that happen ONLY because of the program. Discounting people who'd buy anyway adds cost, not sales.

MC 3 [SAMPLE EXAM]

Giving loyal customers an exclusive discount on items they'd normally buy at full price is an example of:

- **✔ CORRECT: Cannibalizing full-price sales**
- Penetration pricing
- Skimming
- A house of brands

> **EXPLANATION**
> You're giving away money you would have earned.

MC 4 [SAID IN CLASS]

According to Kahn, how should you price for very loyal customers?

- ✔ **CORRECT: They're less price-sensitive, so you can charge more, not discount them**
- Give them the deepest discounts
- Price them at cost
- Loyalty doesn't affect price sensitivity

EXPLANATION

'Oh, you do that? Not me. I raise price.' Airline loyalty programs show how much loyalty reduces price sensitivity.

MC 5 [SLIDES]

Using CLV = m × r ÷ (1.1 − r): margin $100 at 80% retention gives $266.67. Perks cut margin to $75 and raise retention to 85%. New CLV?

- ✔ **CORRECT: $255, lower than before**
- $300, higher
- $266.67, unchanged
- $425

EXPLANATION

75 × 0.85 ÷ (1.1 − 0.85) = 63.75 ÷ 0.25 = $255. Retention went up, but not enough to make up for the lost margin.

MC 6 [SLIDES]

Why are memberships with high retention so valuable? Going from 80% to Costco's ~92% renewal changes the CLV multiplier r/(1.1−r) from about:

- ✔ **CORRECT: 2.67 to 5.1**
- 2 to 3
- 5 to 10
- 1 to 1.2

> **EXPLANATION**
> 0.8/0.3 = 2.67 and 0.92/0.18 = 5.1. Small gains in loyalty nearly double each customer's value, which is why firms invest in programs.

MC 7 [SAID IN CLASS]

A subscription with an intro price and then different prices depending on how much you use is called:

- ✔ **CORRECT: A three-part tariff (second-degree price discrimination)**
- A two-part tariff
- First-degree discrimination
- Skimming

> **EXPLANATION**
> Two-part = cheap entry plus pay per use (razor/blades). Three-part = subscriptions with intro and usage tiers.

MC 8 [SLIDES]

Which design best limits the downsides of perks?

- **✔ CORRECT: Tiered or threshold-based perks, non-price benefits, and measuring incremental sales against a control group**
- Give every member the deepest discount
- Remove all membership fees
- Offer random perks with no tracking

EXPLANATION

Tie perks to behavior, prefer non-discount value (access, service), and check whether the program truly adds sales.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Many companies offer free shipping, gifts, and exclusive deals as part of their subscription program. What are two potential unintended consequences of including such features?

What a full-credit answer covers

- Margin erosion: perks cost money per order (m falls)
- Training customers to expect discounts (reference price falls)
- Deal-seekers buy only when offers exist, so the program's incremental value is low
- Cannibalizing full-price sales
- Ties to CLV/loyalty logic and suggests a mitigation

MODEL ANSWER

First, margin erosion and discount training: free shipping, gifts, and exclusive deals cost money on every order, and customers start treating the discounted price as normal, so it's hard to sell at full price again. Second, low incrementality and cannibalization: the program attracts deal-seekers who buy only when offers are available, while loyal customers who would have paid full price now get discounts. Much of the 'lift' isn't new profit. In CLV terms, retention may rise but margin falls, so CLV can actually drop. Kahn's view is that loyal customers are less price-sensitive, so discounting them wastes margin. Better: tiered or non-price perks and measuring incremental sales.

SHORT ANSWER 2 (9 points)

Design a better membership program for a retailer, using CLV and Kahn's pricing logic.

What a full-credit answer covers

- Goal: raise retention r without destroying margin m (CLV formula)
- Uses tiers/thresholds (three-part tariff) so heavier users self-select
- Prefers non-price perks (access, service, experiences) over discounts
- Doesn't discount loyal, price-insensitive customers; targets discounts with fences at price-sensitive segments
- Measures incrementality / break-even retention

MODEL ANSWER

The goal is to raise retention without giving away margin, since CLV = m × r ÷ (1 + i – r). I'd use a tiered membership (a three-part tariff): a basic tier with modest benefits and a premium tier for heavy users, so customers sort themselves by value. Perks would favor non-price value such as early access, members-only service, and experiences, rather than across-the-board discounts, because loyal members are less price-sensitive and discounts mostly hand them money. Any discounts would be fenced and aimed at price-sensitive segments that wouldn't buy otherwise. Finally, I'd measure incrementality against a control group and check that retention rises enough to beat the margin cost (in the worked example, from 80% to about 86%).

SHORT ANSWER 3 (9 points)

Why is Costco's membership model so valuable, and what could go wrong if it added many discount perks?

What a full-credit answer covers

- High renewal (~92%) → CLV multiplier ~5.1× vs 2.67× at 80%
- Fee income and lock-in; members come back often (treasure hunt, Low Price + Experiential)
- Adding discount perks lowers m, trains deal expectations, cannibalizes
- Loyal members already price-insensitive about the fee; perks not needed for retention
- Conclusion

MODEL ANSWER

Costco's renewal rate is about 92%. With the CLV multiplier r/(1+i−r), that's about 5.1 years' worth of margin per member, compared with 2.67 at 80% retention, and membership fees bring steady income. Low prices plus the treasure-hunt experience keep members coming back. Piling on discount perks would lower margin on every trip, teach members to expect deals, and mostly reward people who would renew anyway, cannibalizing profit without raising retention much from an already very high level. Better to protect the value proposition and use non-price benefits.

TOPIC ⑥ · SAMPLE SHORT ANSWER #3

Mass Market vs Two Distinct Segments

📄 SAMPLE **THE QUESTION & THE GRADING NOTES**

"You are CMO of a consumer packaged goods company with limited budget. Choose between: targeting a large, broadly defined mass market with a single positioning, OR targeting two smaller, highly distinct segments with different positions. Compare both options strategically, and discuss how your decision would depend on the **costs of differentiation, competitive intensity, and brand equity**."

Grading notes: Mass = **lower cost, more efficient media**, but **less tailored**. Multi-segment = **more relevant**, but **more complex and costly**. It depends on: (a) **competitive intensity**: if high and differentiation is critical, go segmented; (b) if differentiation is **very costly**, assess profitability and make sure the **ROI** merits it; (c) a **very strong brand** may sustain a universal mass approach, **like Coke**. **Grading: 25% options compared, 25% cost, 25% competition, 25% brand.**

Learn it

PLAIN ENGLISH

One message for everyone (mass) is cheap and simple, but it doesn't speak deeply to anyone. Separate messages for separate groups (segmented) speak to each group's real needs, but you pay for two of everything. The right answer depends on how much tailoring costs, how fierce competitors are, and how strong your brand already is.

	Option A: Mass, one positioning	Option B: Two distinct segments
✔	Lower cost; efficient media; economies of scale; simple to run	More relevant; can charge more; harder for rivals to attack; fits "serve real needs"
✘	Less tailored, so "serving the average buyer serves no one"; easy for focused rivals to pick off; risk of being stuck in the middle	Two products, ads, and channels; complexity; splits a limited budget; risk of doing both poorly

The three “it depends” factors (each is 25% of the grade)

💰 Cost of differentiation

If tailoring is very expensive, check that each segment's profit (chain model, break-even) justifies it. With a **limited budget**, the ROI must be clear.

⚔ Competitive intensity

If rivals already target specific segments, a one-size message gets picked apart → **segment**. If competition is weak, mass may be enough.

🏷 Brand equity

A **very strong brand** (Coke) can hold a universal appeal. A weak or new brand needs a sharp segment to stand out.

Related ideas Prof. Kahn emphasized 🎤 CLASS 📊 SLIDES

- **Two ways to build a brand** (class): **awareness-first** for everyone, the old CPG way (Coke, Budweiser), which still works in mass categories because of the **double-jeopardy effect** (big brands get more buyers AND more frequent buyers). Versus **passion-first** in a niche (BAV; Lululemon). The niche approach is “cost efficient and more realistic today” with fragmented media, but may not scale.
- Risk of mass with no differentiation: “you can have very strong brand awareness, but if you don't have that energized differentiation, you actually don't have a strong brand” (stuck in the middle).
- **Principle of Selectivity & Concentration**: choose and focus. **Targeting grid**: pick segments that are attractive AND fit your strengths.
- **Quidel** shows two segments done well; **Pringles** shows how a sharper target (kids/teens) beat a vague one.

A STRONG RECOMMENDATION SENTENCE

“With a limited budget, I'd go **mass** only if our brand is strong and competition is moderate. Otherwise I'd **concentrate on the more attractive, better-fitting segment first**, prove the ROI, then add the second.”

Practice: multiple choice (8), with answers

MC 1 [SAMPLE EXAM]

A CMO with a limited budget compares one mass-market positioning vs two distinct segments. The main ADVANTAGE of the mass approach is:

- **✔ CORRECT: Lower cost and more efficient media spending**
- Highly tailored appeal
- Harder for niche rivals to attack
- Higher price premiums

EXPLANATION

One campaign, one product, scale. The downside is a less tailored message.

MC 2 [SAMPLE EXAM]

When does the grading key say the SEGMENTED approach becomes necessary?

- **✔ CORRECT: When competitive intensity is high and differentiation is critical**
- When the brand is extremely strong, like Coke
- When differentiation is very costly
- Never with a limited budget

EXPLANATION

If rivals target specific groups, a one-size message gets picked apart.

MC 3 [SAMPLE EXAM]

Per the grading key, what does a very strong brand (like Coke) allow?

- **✔ CORRECT: Sustaining a universal, mass approach**
- Skipping all advertising
- Charging any price
- Avoiding competition entirely

EXPLANATION

Strong brand equity can carry one positioning across a broad market.

MC 4 [SAMPLE EXAM]

If differentiating for two segments is very costly, the CMO should:

- **✔ CORRECT: Assess profitability and make sure the ROI justifies it**
- Always choose two segments anyway
- Cut price
- Ignore costs since relevance matters most

EXPLANATION

With a limited budget, tailoring must pay for itself (use segment value and break-even math).

MC 5 [SAID IN CLASS]

In class, why did Kahn say the passion-first (niche) way of building brands is 'more modern'?

- **✔ CORRECT: Media is fragmented, so broad awareness is hard and costly; a niche is cost-efficient and digital can scale it**
- TV advertising is free now
- Niche markets are always larger
- Awareness never matters

EXPLANATION

'Everybody's watching their own TV... at their own time.' The old Super Bowl-style mass approach is harder to pull off.

MC 6 [SAID IN CLASS]

What's the risk of a broad, awareness-first brand with no 'energized differentiation'?

- **✔ CORRECT: It's known but means nothing, so it's 'stuck in the middle' with no loyalty**
- It becomes too exclusive
- It can't be advertised
- It always wins on price

EXPLANATION

Like TV Guide, or 'all beers are the same.' Awareness without meaning doesn't create attachment.

MC 7 [SAID IN CLASS]

The 'double jeopardy' effect helps explain why mass CPG brands still chase broad awareness. It means:

- ✔ **CORRECT: Big brands get more buyers AND those buyers buy more often**
- Small brands are punished by regulators
- Two segments always beat one
- Ads work twice as well online

EXPLANATION

In mass, 'average' categories, penetration drives frequency, so going big and broad still makes sense.

MC 8 [SLIDES]

'Serving the average buyer well serves no one' is an argument for:

- ✔ **CORRECT: Segmenting and targeting rather than one generic offering**
- Mass marketing
- Lower prices
- More product features

EXPLANATION

When groups want different things, a middle-of-the-road product satisfies nobody.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

You are CMO of a CPG company with limited budget. You must choose between targeting a large, broadly defined mass market with a single positioning, or targeting two smaller, highly distinct segments with different positions. Compare both options strategically, and discuss how your decision would depend on the costs of differentiation, competitive intensity, and brand equity considerations.

What a full-credit answer covers

- (25%) Compares options: mass = lower cost, efficient media, less tailored; segments = more relevant, more complex/costly
- (25%) Cost of differentiation: if very costly, check profitability/ROI with a limited budget
- (25%) Competitive intensity: if high and differentiation is critical → segmented
- (25%) Brand equity: very strong brand (Coke) can sustain universal mass
- Gives a clear, conditional recommendation

MODEL ANSWER

A single mass positioning is cheaper and more efficient: one product and campaign, scale in media, simpler execution. But it's less tailored, and 'serving the average buyer well serves no one.' Targeting two distinct segments gives each a positioning built on its real needs, so it's more relevant and harder to attack, but it doubles creative work, SKUs, and complexity on a limited budget. The choice depends on three things. Cost of differentiation: if tailoring is very costly, check each segment's profit (segment value, break-even) to make sure the ROI justifies it. Competitive intensity: if rivals already target specific segments and differentiation is critical, a generic message will be picked apart, so segment. Brand equity: a very strong brand like Coke can sustain a universal mass approach. My recommendation: go mass only if the brand is strong and competition moderate; otherwise concentrate on the more attractive, better-fitting segment first, prove the ROI, then add the second.

SHORT ANSWER 2 (9 points)

A new beverage startup with a small budget wonders whether to advertise broadly (Super Bowl style) or win a passionate niche first. Advise them using what Kahn said about building brands.

What a full-credit answer covers

- Describes awareness-first (old CPG: Coke, Bud) vs passion-first (BAV, Lululemon)
- Startup: limited budget + fragmented media → niche is cost-efficient and realistic
- Risk of broad awareness without differentiation (stuck in the middle)
- Risk of the niche approach: may not scale; plan expansion with digital targeting
- Recommendation with a growth path

MODEL ANSWER

There are two opposite ways to build a brand. The old CPG way builds broad awareness first with mass advertising and expects love to follow (Coke, Budweiser). The BAV way builds energized differentiation and relevance with a small passionate group first, then expands (Lululemon started with affluent yoga women in Canada). For a startup with a small budget, mass advertising is unaffordable and, with fragmented media, hard to pull off. Worse, awareness without a clear point of difference leaves you known but meaningless, stuck in the middle. I'd win a passionate niche first with a sharp positioning, then scale through digital targeting and word of mouth. The risk is that the niche doesn't spread, so I'd pick a niche whose enthusiasm can carry into adjacent segments and track relevance and differentiation as I grow.

SHORT ANSWER 3 (9 points)

Using the targeting grid and the Principle of Selectivity and Concentration, explain how a firm should choose its target segments.

What a full-credit answer covers

- Attractiveness: size, growth, profitability (segment value/CLV)
- Fit: plays to the firm's strengths, hides its weaknesses
- Grid outcomes: perfect, domination essential, beware shake-out, stay away
- Selectivity & concentration: focus resources; can't be all things to all people (Quidel)
- Example (sim segments or Quidel/Pringles)

MODEL ANSWER

Evaluate each segment on two axes. Attractiveness: is it big, growing, and profitable (chain-model value, CLV)? Fit: does it play to our strengths and avoid our weaknesses? High on both is 'perfect.' A great fit with a less attractive segment means 'domination is essential.' An attractive segment that fits poorly means 'beware shake-out,' because better-suited rivals will win. Low on both means stay away. The Principle of Selectivity and Concentration says to then focus resources on the chosen segments rather than trying to be everything to everyone. Quidel's turnaround came from exactly this focus. In Pivot or Perish, that means choosing among the six segments by size, CLV, and preferences that match Getchells' strengths.

TOPIC ⑦ · RECORDED LECTURE (BRANDING, PART 2)

How to Measure a Brand: 3 Ways and 2 Opposite Models

PLAIN ENGLISH

If a brand is valuable, how do you prove it? Kahn showed **three ways**: look inside customers' heads, use a consulting firm's scorecard (BAV), or put a dollar value on it like a financial asset (Interbrand). Each rests on a different belief about what makes a brand strong.

① Customer-based: what's in the customer's head 🎤 CLASS

Stage	Question	How it's measured (from class)
Awareness	Have you heard of me?	**Recognition** (spot it on a shelf), **recall** (name brands in a category, aided or unaided), **top-of-mind** (the first brand you think of), **latency** (how fast it comes to mind)
Associations	What do you know about me?	Asking directly "doesn't work that well," so use **conjoint** (infer from choices)
Attitudes / emotion	How do you feel?	**Neuromarketing**: facial recognition, arousal, eye tracking
Attachment / loyalty	Are you loyal?	Purchase history, conversion

CONJOINT, SIMPLY

People are "really bad" at saying how important brand or price is. So show them product bundles where brand, price, and features vary, watch which they **choose**, and "back out" the weights. The brand's weight = its value.

PRICE PREMIUM, SIMPLY

> “How much would you pay for this T-shirt?” vs the same shirt with a brand logo. **The difference = the brand's value.** Experienced clothing people “can do it in their head.”

② BAV (Young & Rubicam BrandAsset Valuator) 🎤 CLASS 📊 SLIDES

Energized Differentiation

unique? → margins

Relevance

for me? → trial

Esteem

respected? → loyalty

Knowledge

well known? → saliency

Brand Strength = Differentiation + Relevance (future potential). **Brand Stature** = Esteem + Knowledge (current standing). These are tracked over time and tied to financial results.

⚡ The key insight from class: the two models are OPPOSITES



	Awareness first (customer-based)	Passion first (BAV)
Belief	“As long as you've heard of me…” / “All publicity is good publicity”: familiar brands get bought	Strength comes from **energized differentiation**; start small and passionate, then grow

Example	Coca-Cola, Budweiser; mass CPG (the **double-jeopardy effect**: big penetration → more frequency)	**Lululemon**: wealthy yoga women in Canada (stylish enough for lunch after yoga) → US → men → new categories
✔	Works for big "average" categories; you have scale	**Cost-efficient** and "more modern": fragmented media makes broad awareness hard; scale with digital
✘	Awareness without differentiation = **stuck in the middle** (TV Guide: "people heard of it but it doesn't mean anything"); no attachment, so no loyalty	May not **scale**: word of mouth might not spread to other segments; network-effect markets favor whoever gets big first

③ Interbrand: the brand as a financial asset 🎤 CLASS

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Brand value = profits from intangibles × % due to the brand  → forecast 5–10 yrs → discount at a rate set by BRAND STRENGTH → + terminal value
Strong, stable brand (Coke) → low discount rate → HIGH value   ·   Trendy brand → high discount rate → low value
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Two "secret sauce" numbers: ① what % of intangible earnings is due to the brand (perfume ~95%, utilities ~0%; Kahn notes pharma used to be ~10% but changed with COVID vaccine brand choice) ② the discount rate, from a 10-factor brand-strength score (risk-free rate ~5%). "Tiny changes in your discount factor compound." The **same discounting logic** is used in CLV and in the simulation's market value.

Why use it? Brand equity **isn't on the balance sheet**, so it helps the CMO **justify marketing to the CFO**. Also used for **acquisitions**, **lawsuits** (Kahn was an expert witness showing brand value fell after an event), and monitoring. Only for **public, profitable** firms (non-profits need another metric). Most useful **within your industry**; the Top 100 list is "a PR mechanism." Coke $68B (#1 until 2013) → Apple; Tesla −35%; Nvidia the biggest gain ever.

Practice: multiple choice (9), with answers

MC 1 [SAID IN CLASS]

How do the customer-based model and the BAV model differ in how strong brands are built?

- **✔ CORRECT: Customer-based builds broad awareness first; BAV builds passion in a niche first, then awareness**
- They are the same model
- BAV starts with Super Bowl ads
- Customer-based ignores awareness

EXPLANATION

Kahn: 'It's the exact opposite model. One says build big and then get the passion. The other says build on the passion and then build awareness.'

MC 2 [SAID IN CLASS]

Lululemon's growth (wealthy yoga women in Canada → US → men → new categories) illustrates:

- **✔ CORRECT: The BAV passion-first model**
- The awareness-first CPG model
- A house of brands
- Penetration pricing

EXPLANATION

Start with a small group that loves you, then expand.

MC 3 [SAID IN CLASS]

Which is a way to measure brand AWARENESS?

- **✔ CORRECT: Recognition, aided/unaided recall, top-of-mind, response speed**
- Conjoint part-worths
- Facial-expression tracking
- Discount rates

EXPLANATION

Associations → conjoint. Emotions → neuromarketing (faces, eye tracking). Loyalty → purchase history.

MC 4 [SAID IN CLASS]

Why use conjoint analysis instead of simply asking people how important the brand is?

- **✔ CORRECT: People are bad at stating importance; their choices among bundles reveal the true weights**
- Conjoint is cheaper than any survey
- It measures awareness
- It is required by law

EXPLANATION

Vary brand, price, and features across options, see what people pick, and 'back out' what they care about.

MC 5 [SAID IN CLASS]

The simplest way to measure a brand's value in class was:

- **✔ CORRECT: The price premium: how much more people pay for the branded version of an identical product**
- Counting social-media followers
- Its number of stores
- Its advertising budget

EXPLANATION

Plain T-shirt vs the same shirt with a logo: the difference is the brand's value.

MC 6 [SAID IN CLASS]

In Interbrand's method, a strong, stable brand like Coca-Cola gets:

- **✔ CORRECT: A LOW discount rate, so a HIGHER brand value**
- A high discount rate
- No discount at all
- A value equal to its revenue

EXPLANATION

Less risk means future brand earnings are shrunk less. A trendy brand gets a big discount.

MC 7 [SAID IN CLASS]

Why did Kahn say brand valuation (Interbrand) matters to a CMO?

- **✔ CORRECT: Brand equity isn't on the balance sheet; a dollar value helps justify marketing spending to the CFO**
- It sets retail prices
- It replaces market research
- It's required for all non-profits

EXPLANATION

Also used in acquisitions, lawsuits (showing damage to a brand), and tracking brand health.

MC 8 [SAID IN CLASS]

Interbrand-style valuation is hard to use for non-profits like Wharton or the Red Cross because:

- **✔ CORRECT: It's based on profits, so you'd need a substitute metric (donations, applications)**
- Non-profits have no brand
- It's illegal
- They have no customers

EXPLANATION

The method starts from earnings; non-profits must find another measure of brand value.

MC 9 [SLIDES]

In BAV, 'Brand Strength' = ____ and 'Brand Stature' = ____.

- **✔ CORRECT: Differentiation + Relevance; Esteem + Knowledge**
- Esteem + Knowledge; Differentiation + Relevance
- Awareness + Loyalty; Price + Quality
- Revenue + Profit; Assets + Debt

EXPLANATION

Strength = future potential (unique and relevant). Stature = current standing (respected and known).

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Compare the 'awareness-first' and 'passion-first' models of building a brand. What are the risks of each?

What a full-credit answer covers

- Awareness-first: hierarchy of effects; big ads (Coke, Bud); 'all publicity is good publicity'
- Passion-first (BAV): niche energized differentiation then stature (Lululemon)
- Risk of awareness-first: no differentiation → stuck in middle, no loyalty (TV Guide)
- Risk of passion-first: may not scale; WOM may not spread; network effects
- When each fits (mass categories / double jeopardy vs niche; fragmented media)

MODEL ANSWER

The customer-based (hierarchy-of-effects) model builds broad awareness first, then associations, attitudes, and loyalty. That's how Coke and Budweiser were built with mass advertising, and it still suits mass categories where big penetration drives frequency (double jeopardy). Its risk is awareness without energized differentiation: a brand everyone knows but that means nothing (TV Guide) is stuck in the middle and earns no loyalty. The BAV model reverses the order: build passion and relevance in a small niche, then grow stature. Lululemon started with affluent yoga women in Canada and expanded. It's cost-efficient and more realistic in fragmented media, but the risk is that the passion doesn't spread beyond the niche, and in network-effect markets a bigger rival can win first. Choose based on the category (mass vs niche), budget, and media environment.

SHORT ANSWER 2 (9 points)

How should a company measure the value of its brand? Compare customer-based measures, BAV, and Interbrand.

What a full-credit answer covers

- Customer-based: awareness (recall/recognition), associations (conjoint), emotion (neuromarketing), loyalty; price premium
- BAV: four pillars; strength vs stature; tied to financial outcomes
- Interbrand: intangible earnings × brand share, discounted by brand-strength risk; terminal value
- Different purposes: diagnose/manage vs dollar value (CFO, M&A, litigation)
- Use multiple methods; limits (public/profit firms only, within-industry)

MODEL ANSWER

Use several lenses. Customer-based measures look inside customers' heads, stage by stage: awareness (recognition, recall, top-of-mind), associations (better inferred through conjoint than asked directly), emotions (neuromarketing such as facial coding and eye tracking), and loyalty (purchase history). The simplest single number is the price premium over an unbranded equivalent. BAV scores brands on Differentiation, Relevance, Esteem, and Knowledge across huge samples and ties them to financial results. Strength vs stature shows a brand's future potential vs current standing. Interbrand puts a dollar value on the brand: profits from intangibles × the share due to the brand, discounted at a rate set by brand strength (strong brands are discounted less), plus a terminal value. Use the first two to diagnose and manage the brand, and Interbrand to justify marketing to the CFO and in acquisitions or lawsuits.

SHORT ANSWER 3 (9 points)

Why does the discount rate matter so much in Interbrand's brand valuation, and where else in the course does the same logic appear?

What a full-credit answer covers

- Future branded earnings are discounted back to today
- Discount rate set by brand strength (risk); strong = low rate = higher value
- Small changes compound into big valuation differences
- Same logic in CLV (discounting customer profits)
- Same logic in the simulation's market value (WACC)

MODEL ANSWER

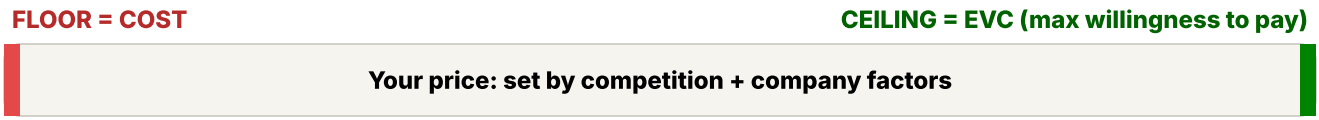
Interbrand forecasts a brand's future earnings and discounts them back to today, so the discount rate decides how much those future earnings count. The rate comes from a brand-strength score. A strong, stable brand like Coke is expected to last, so it gets a low rate and a high value; a trendy brand gets a high rate. Kahn stressed that 'tiny changes in your discount factor compound,' so the rate matters a lot. The same discounted-cash-flow logic appears in CLV, where customer profits are discounted, and in the simulation, where market value is free cash flow discounted at WACC. More debt raises WACC and lowers value.

TOPIC ⑧ · RECORDED PRICING LECTURE

Pricing Basics: Ceiling, Floor, and What Decides In Between

PLAIN ENGLISH

Every price lands between two walls. The **floor** is your cost: below it you lose money. The **ceiling** is the most the product is worth to the customer. Where you land depends on **competitors** and **your own goals**.



Kahn: "What's the highest thing customers are willing to pay? Where are your costs? We're gonna price somewhere in between."

The ceiling: EVC (Economic Value to the Customer) 🎤 CLASS

EVC = the value of your product to the customer, **in dollars, in the customer's terms**. It's common in **B2B** (software, services, energy) where savings are measurable; consumer markets rely more on branding. Even if you don't get the full EVC, showing it **raises the customer's reference point** (electric cars vs. gas savings, energy-efficient appliances).

THE POOL PILL (PROF. RAJU'S POOL): THE CLASS EXAMPLE

A 20,000-gallon pool. Draining costs $1 per 1,000 gal = **$20**; refilling costs $1 per 100 gal = **$200**. Total **$220** plus headache. A pill keeps the water clean under the cover he uses anyway. A student said "$450" (adding his time).

Kahn's point: EVC says $220+, but the real price will be about **$10–20**, because:

① **Fairness**: it's about $0.50 of chlorine, and people won't pay $220 for that.

② **Competitive rivalry**: "a $200 margin on 50 cents of chlorine? I'm gonna come in for $100," then $50…

With **no competition** and a strong R&D story (pharma), you *could* charge near EVC.

The floor: two ways to count cost 🎤 CLASS

Markup

Cost + a %. **Costco ~11%**, **Walmart ~25%**.

Break-even based

Each unit also carries a share of **fixed costs**: “you're really covering your cost if you do it this way.” In BeWood you do both.

⭐ The widget problem: “there is a right answer”

	Sell 1,000 at $7	Sell 750 at $7
Revenue	$7,000	$5,250
Variable cost ($1/unit)	−$1,000	−$750
Fixed + overhead	−$4,500	−$4,500
Profit	**$1,500**	**$0**

ANSWER: LOWER THE PRICE

Costs are mostly **fixed**, so you need **volume** to cover them: “cover the fixed.” Scenario analysis: raising the price loses money whether volume falls 5% or 33%; lowering it makes money in both cases.

THE FLIP SIDE: VARIABLE-COST-HEAVY → RAISE

Jesse's sushi **omakase**: expensive fish and chef time on every seat, so he should keep raising the price (“it's always gonna go up”). The cheaper front of the restaurant brings volume to cover the building.

What decides where you land

Company factors

1. **Maximize profit**: charge each person their max (legal price discrimination, see topic ⑨)
2. **Cover costs**: depends on cost structure
3. **Product-line logic**: “I can't have my premium product less than my cheap product”

Competition = game theory: **can** they match (their costs)? **Will** they? **Warby Parker** came in at **$95** vs Luxottica's ~**$300**. Luxottica (owns brands and retailers) *could* have matched and knocked Warby out, but **wouldn't**: too much margin at stake, and it couldn't raise prices back. Its CEO just waved off students' questions. (Raju helped Warby's founder set the price.)

Practice: multiple choice (8), with answers

MC 1 [SAID IN CLASS]

In Kahn's pricing framework, the price CEILING and FLOOR are:

- **✔ CORRECT: Ceiling = EVC (max the customer should pay); floor = cost**
- Ceiling = competitor price; floor = zero
- Ceiling = cost; floor = EVC
- Ceiling = list price; floor = sale price

EXPLANATION

Price lands between them, decided by competition and company factors.

MC 2 [SAID IN CLASS]

The pool pill saves $20 (drain) + $200 (refill) + headache. Why did Kahn expect the realistic price to be only ~$10–20?

- **✔ CORRECT: Fairness (it's ~$0.50 of chlorine) and competitive rivalry (a big margin invites cheaper rivals)**
- EVC is always wrong
- The cover costs more
- People never value their time

EXPLANATION

EVC sets the ceiling, but customers balk at unfair margins and rivals undercut. With no competition (think pharma plus an R&D story), price could approach EVC.

MC 3 [SAID IN CLASS]

Why is EVC used so often in B2B pricing?

- **✔ CORRECT: Savings can be quantified in the customer's terms, which raises their reference point even if you don't get the full EVC**
- B2B buyers never compare
- It's legally required
- B2B has no costs

EXPLANATION

Showing a customer '$X saved per year' anchors the negotiation higher.

MC 4 [SAID IN CLASS]

A firm sells 1,000 widgets at $7 (variable cost $1/unit; fixed + overhead $4,500). Sales fall to 750 and profit is $0. What should it do?

- ✔ **CORRECT: Lower the price to drive volume and 'cover the fixed'**
- Raise the price to restore margin
- Keep the price and cut ads
- Raise the price because fixed costs are sunk

EXPLANATION

Most costs are fixed, so you need volume. Raising the price loses money in both the optimistic and pessimistic scenarios.

MC 5 [SAID IN CLASS]

Jesse's sushi omakase has very high per-seat costs (fish, chef time). Its price should:

- ✔ **CORRECT: Keep rising: it's variable-cost-heavy**
- Fall to fill seats
- Equal the cheap front-room menu
- Be set at cost

EXPLANATION

Variable-cost-heavy → raise price, since each unit must carry its margin. The cheaper front room brings volume to cover the building.

MC 6 [SAID IN CLASS]

Costco's ~11% and Walmart's ~25% are examples of:

- **✔ CORRECT: Markup pricing (cost + %)**
- Break-even pricing
- EVC
- Skimming

EXPLANATION

Markup = cost plus a percentage. The other cost method also spreads fixed costs over units (break-even).

MC 7 [SAID IN CLASS]

Warby Parker priced glasses at $95 vs Luxottica's ~$300. Why didn't Luxottica match?

- **✔ CORRECT: It could have, but matching would sacrifice huge margins it couldn't recover; it judged Warby too small to bother**
- Its costs were above $95
- Antitrust law
- It had no stores

EXPLANATION

Competitive response = can they AND will they. Incumbents with lots of margin at stake often ignore small entrants.

MC 8 [SAID IN CLASS]

Which is a COMPANY factor in setting price (vs a competitive factor)?

- **✔ CORRECT: Product-line consistency: the premium version can't cost less than the cheap one**
- Whether a rival will match
- A rival's cost structure
- Game-theory response

EXPLANATION

Company factors: maximize profit (price discrimination), cover costs, keep the product line logical.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Prof. Raju's pool: draining costs $1/1,000 gal and refilling $1/100 gal for 20,000 gallons; a pill keeps the water clean under the cover he uses anyway. Using EVC, what's the most he should pay, and what price would you actually expect? Why?

What a full-credit answer covers

- EVC: $20 + $200 = $220 plus hassle; cover not incremental
- EVC = ceiling / max willingness to pay; price must be below it
- Fairness: ~$0.50 chlorine → customers reject a huge margin
- Competitive rivalry → entrants undercut → realistic ~$10–20
- Contrast: no competition + R&D story (pharma) → closer to EVC; EVC still raises the reference point

MODEL ANSWER

The pill replaces $20 of drainage (20,000 gallons × $1/1,000) and $200 of refill water (20,000 × $1/100), plus his time and hassle. The cover isn't counted because he uses it anyway. So the EVC, the most a fully informed customer should pay, is about $220 plus the value of the headache. But Kahn argued the realistic price would be around $10–20 for two reasons. Fairness: anyone who knows it's about $0.50 of chlorine won't pay $220. Competitive rivalry: a $200 margin invites rivals at $100, then $50, until the price settles near a sustainable level. Without competition and with a credible R&D story, as in pharma, a seller could price nearer EVC. Quantifying EVC is still useful because it raises the customer's reference point.

SHORT ANSWER 2 (9 points)

A fixed-cost-heavy business just lost 25% of its volume and a colleague wants to raise prices. Evaluate, and explain how the answer changes for a variable-cost-heavy business.

What a full-credit answer covers

- Fixed-cost-heavy → need volume → lower price ('cover the fixed')
- Widget numbers: 1,000 → $1,500 profit; 750 → $0
- Scenario analysis: raising price loses money in both optimistic and pessimistic cases
- Variable-cost-heavy → raise price (omakase)
- Mentions competition/price sensitivity/fairness as checks

MODEL ANSWER

I'd push back. When most costs are fixed, profit depends on volume. In the class widget example, 1,000 units at $7 earned $1,500, but at 750 units the $4,500 of fixed and overhead costs wiped out all profit. Raising the price shrinks volume further and leaves the fixed costs uncovered; Kahn showed it loses money whether volume falls 5% or 33%, while lowering the price makes money in both cases. So lower the price and 'cover the fixed.' For a variable-cost-heavy business like Jesse's omakase, each unit carries large costs, so you need margin on every unit and the price should rise. Either way, check rivals' likely responses and customers' price sensitivity.

SHORT ANSWER 3 (9 points)

A startup enters at one-third of a dominant incumbent's price. Will the incumbent respond, and what should the startup consider?

What a full-credit answer covers

- Can they match (costs) vs will they (incentives)
- Warby $95 vs Luxottica ~$300: could but wouldn't (margin at stake; can't raise back)
- Incumbent may ignore a small player until it grows
- Startup: price between cost and EVC; positioning (Brand + Low Price)
- Plan for eventual response: scale, loyalty, differentiation

MODEL ANSWER

Probably not at first. Competitive response is game theory: can the incumbent match (does its cost structure allow it), and will it? Luxottica, which owns brands and retailers and sold glasses around $300, could easily have matched Warby Parker's $95 and knocked it out. It didn't, because cutting price would sacrifice huge margins it couldn't easily restore, for a player it didn't take seriously. The startup should price between its cost and the customer's EVC, make the low price credible through positioning (Warby paired brand with low price by cutting the middleman), and scale before the incumbent reacts, while building loyalty in case a price war comes later.

TOPIC ⑨ · RECORDED PRICING LECTURE

Price Discrimination: Charging Different People Different Prices (Legally)

PLAIN ENGLISH

Customers differ in how much they'll pay. A company makes the most money if each person pays close to their own maximum. Kahn stressed doing this **legally and ethically**, and keeping people happy, because customers hate prices that feel unfair.

Degree	How it works	Examples from class
1st	**A unique price for each person**, usually by negotiating up to their max	Used cars, antiques, art, rugs; B2B deals. ⚠ Control your sales force: they'll cut price rather than lose a sale (BeWood).
2nd	Customers **pick a trade-off**, usually **quantity**: buy more, pay less per unit	Bulk discounts. **Two-part tariff**: lock in, then pay per use (razor + blades, HP printer + ink, Keurig + pods). **Three-part tariff** = subscriptions (intro price, then tiers by usage; newspapers). Loyalty programs.
3rd	**Customers fall into segments; the less price-sensitive segment pays more**	**The menu below ↓**

Skimming vs Penetration

Skim = start HIGH for eager buyers, drop over time: Apple launches, fashion (runway → ready-to-wear → T.J.Maxx).

Penetration = start LOW (even free) to hook people, then raise: intro phone plans, coupons for first-timers, **freemium** (Dropbox, AI tools: "you can't do anything without paying more").

EDLP vs High-Low

EDLP (Walmart, Best Buy): good prices every day, often with **price matching**. Most people then stop searching; the few who search get matched. “When they say there's a price match, there probably is a cheaper price out there.”
High-low: **loss leaders** lure you in; everything else is priced above EDLP. **Cherry-pickers** buy only the deals, but “most people don't do that.”

Random vs Periodic discounts

Random: you don't know when; coupons, the promo-code box (“I hate that”). Bargain hunters search; others pay full.
Periodic: predictable, but you give something up (early-bird specials, end of season, 3pm movies).

Secondary markets & versioning

Students/seniors get lower prices, but must **show ID** (a transaction cost so not everyone qualifies).
Versioning (good/better/best): the top tier is priced above its extra benefits for insensitive buyers (first class); the bottom is stripped down; most buy the middle.

LOYALTY ≠ DISCOUNT 🎤 **CLASS**

Loyal customers are **less price-sensitive**, so “I raise price.” Airline loyalty programs make people pay more for small benefits. That links directly to the sample essay on subscription perks (topic ⑤).

Practice: multiple choice (9), with answers

MC 1 [SAID IN CLASS]

A used-car dealer negotiates each buyer up to their personal maximum. This is:

- **✔ CORRECT: First-degree price discrimination**
- Second-degree
- Third-degree
- A two-part tariff

> **EXPLANATION**
> A unique price per person. Common in haggling categories and B2B, where you must control salespeople who cut price to close.

MC 2 [SAID IN CLASS]

HP sells printers cheaply and makes money on ink. This is a:

- **✔ CORRECT: Two-part tariff (second-degree)**
- Skimming strategy
- Third-degree segment pricing
- Loss leader

> **EXPLANATION**
> Lock in with a cheap base, then charge for refills: razor/blades, Keurig/pods.

MC 3 [SAID IN CLASS]

Apple charges the most at launch and lowers prices over time. This is:

- ✔ **CORRECT: Skimming**
- Penetration
- EDLP
- Versioning

> **EXPLANATION**
> Skim the eager, price-insensitive buyers first. Fashion does it too: runway → ready-to-wear → T.J.Maxx.

MC 4 [SAID IN CLASS]

A free AI tier that pushes heavy users to pay later is:

- ✔ **CORRECT: Penetration (freemium)**
- Skimming
- First-degree
- Periodic discounting

> **EXPLANATION**
> Start low or free to hook users, then charge (Dropbox, AI tools).

MC 5 [SAID IN CLASS]

Why do EDLP stores offer price matching?

- **✔ CORRECT: It convinces most shoppers they're cheapest so they stop searching; searchers get matched**
- To raise prices
- Because they use loss leaders
- It's legally required

EXPLANATION

Kahn: if they offer a price match, 'there probably is a cheaper price out there' (a rival's loss leader).

MC 6 [SAID IN CLASS]

A store sells milk below cost to bring shoppers in, pricing other items above EDLP. Who undermines this?

- **✔ CORRECT: Cherry-pickers who buy only the loss leaders**
- Loyal full-basket shoppers
- Price-insensitive shoppers
- Suppliers

EXPLANATION

High-low works because most people buy other items once inside; cherry-pickers don't.

MC 7 [SAID IN CLASS]

Student discounts that require an ID are an example of:

- **✔ CORRECT: Third-degree discrimination with a transaction cost fencing the discount**
- Two-part tariff
- Skimming
- First-degree

EXPLANATION

The ID requirement keeps everyone else from claiming the lower price.

MC 8 [SAID IN CLASS]

In good/better/best versioning, the 'best' tier is usually:

- **✔ CORRECT: Priced above the value of its extra benefits, because its buyers aren't price-sensitive**
- Priced at cost
- Cheaper than 'better'
- Identical to 'good'

EXPLANATION

Like first-class seats. Most people buy the middle.

MC 9 [SAID IN CLASS]

Early-bird dinner specials are an example of:

- **✔ CORRECT: Periodic discounting: predictable, but you give something up (time)**
- Random discounting
- Two-part tariff
- Skimming

EXPLANATION

Random = coupons and promo codes you have to hunt for; periodic = known in advance with a trade-off.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Explain the three degrees of price discrimination with an example of each, and why firms use them.

What a full-credit answer covers

- Purpose: maximize profit by charging each customer close to their WTP (legally, ethically, fairly)
- 1st degree: unique price per customer (used cars, B2B; control sales force)
- 2nd degree: self-selection/quantity (bulk, two-part tariff, three-part subscriptions)
- 3rd degree: segment-based (skimming/penetration, EDLP vs high-low, coupons, student ID, versioning)
- Mentions fairness/price sensitivity or loyalty desensitization

MODEL ANSWER

Firms want to charge each customer close to their maximum willingness to pay, legally and in a way that feels fair. First-degree sets a unique price for each person, usually through negotiation (used cars, art, B2B deals), which is why companies must control salespeople who discount to close. Second-degree lets customers sort themselves, usually by quantity: bulk discounts, two-part tariffs (cheap razor, pricey blades; HP printers and ink), and three-part tariffs like subscriptions with intro prices and usage tiers. Third-degree charges different segments different prices, with the less price-sensitive paying more: skimming (Apple) vs penetration (freemium), EDLP vs high-low loss leaders, coupons, student discounts with ID, and good/better/best versioning. Loyal customers are less price-sensitive, so loyalty programs often let firms charge more.

SHORT ANSWER 2 (9 points)

Compare EDLP and high-low pricing. When does each make sense?

What a full-credit answer covers

- EDLP: steady low prices (Walmart, Best Buy); smooths demand; price matching
- Price-match logic: reduces search; defends against loss leaders
- High-low: loss leaders bring traffic, other items priced higher; can be more profitable
- Risk: cherry-pickers; customers trained to wait
- Fit: EDLP with operational efficiency / low-price positioning; high-low where basket-building works

MODEL ANSWER

EDLP (Walmart, Best Buy) keeps prices consistently low. It suits retailers with efficient operations and a low-price position, and it smooths demand. EDLP stores often offer price matching, which convinces most shoppers they're getting the lowest price so they stop searching, while the few who find a cheaper rival price (often a loss leader) get matched. High-low uses deep 'loss leader' deals to bring shoppers in and prices everything else above EDLP, betting that most people fill their baskets once inside. That can be more profitable, but cherry-pickers who buy only the deals undermine it. Choose EDLP when you lead on cost and want steady traffic; high-low when promotions build bigger baskets.

SHORT ANSWER 3 (9 points)

Skimming or penetration? Recommend a launch pricing strategy for a new AI productivity app.

What a full-credit answer covers

- Defines skimming (start high, drop) with examples (Apple, fashion)
- Defines penetration/freemium (start low/free, raise) with examples (Dropbox, AI)
- Considers price sensitivity of early adopters, competition, network effects
- Recommendation fits the product (likely freemium/penetration to build users; upsell tiers)
- Mentions versioning tiers / two- or three-part tariff to monetize

MODEL ANSWER

Skimming launches at a high price for eager, price-insensitive buyers and lowers it over time (Apple, runway fashion). Penetration starts low, or free with freemium, to build a large user base quickly, then charges once people depend on the product (Dropbox, today's AI tools). For an AI productivity app in a crowded market, where value grows as users build habits and data, I'd use penetration through freemium: a useful free tier to drive adoption, then paid good/better/best tiers (versioning) for heavier users, a three-part-tariff structure. Skimming would make sense only with a clear, defensible lead and a passionate early-adopter segment willing to pay much more.

TOPIC ⑩ · RECORDED GO-TO-MARKET LECTURE

Place & Channels: How the Product Reaches the Customer

PLAIN ENGLISH

Place = where and how people buy: stores, websites, distributors, salespeople. Kahn: it used to be her “least favorite P” (it felt like logistics), but now it's her **favorite**, because in mature categories with similar products, **how you go to market is how you stand out**. And **30–50% of the final price** sits in the channel.

What channels (stores, distributors) actually do 🎤 CLASS

Sell & educate
They talk to the customer, demonstrate, and deliver the experience

Assortment
Breadth = how many categories · **Depth** = how many choices within one (simulation decisions!)

Final price & promos
Plus comparisons, customization, and logistics

Direct vs Indirect

	Direct (you sell to the customer yourself)	Indirect (through stores or distributors)
✔	Full margin · full control of price and experience · **you own the customer DATA**	They handle distribution · **scale** · customers can compare brands side by side
✘	**Hard to scale** · you do all the logistics (on your balance sheet) · need strong awareness · may	**Double marginalization** · **channel conflict and power** · less control of

not match how customers decide | price and experience

DOUBLE MARGINALIZATION

Each middleman adds its own markup, so the **customer pays more** and each party earns less total profit. “Many times the channel makes more money than you do” (as in BeWood).

CHANNEL POWER & DATA

“**Who owns the data**... is a critical negotiation point” (Amazon often knows more about your customers than you; Dexcom with Apple Watch). US **car dealers** are protected by law, so **Tesla** got around them by arguing “we're not a car,” we're tech. Amazon: “can't live with them, can't live without them.”

⭐ Nike's DTC story (told at length in class)

1. **2020:** Strong brand; everyone's home in athletic wear. Nike pushes **direct-to-consumer**, cuts margins to retailers, wants to own the data; fully bought into **CLV** (even bought Prof. Fader's company).
2. **Then:** acquiring new customers got hard, plus supply-chain problems. Nike kept only Dick's, Foot Locker, Nordstrom; even Foot Locker couldn't get enough shoes. It **pulled out of running stores**.
3. **What customers did:** didn't go to Nike.com. They bought **HOKA, On, New Balance** right there. Nike also stopped innovating (over-relied on Air Max and Air Force 1).
4. **2024:** the consultant-CEO is replaced by a product veteran: rebuild wholesale, “back to our DNA.” Lesson: **channels really matter**.

The retail landscape

• **Mid-tier department stores are stuck in the middle** (Kohl's, JCPenney, Macy's). Multi-brand still works when done right: **Sephora** sells the same beauty products as Macy's but differently; T.J.Maxx, Walmart, Costco win.
• **DTC brands** of 2017–18 (Bonobos, Rent the Runway) couldn't scale, so they moved into Nordstrom and onto Amazon. **Luxury** did the opposite: pulled out of department stores toward direct or store-within-store to control price and experience. "Which is better? Obviously, like anything in marketing, **it depends**." Many do both.
• **Mono-brand** (sells one brand: Apple, Lululemon) vs **multi-brand** (department stores). **National brands** (Coke, Dior) vs **private brands** (Costco's **Kirkland**). In the sim, 100% private brand ≈ going mono-brand.
• What killed retailers: "they opened too many stores, they kept too much inventory, they took out too much **debt**," and the simulation models exactly this.

Practice: multiple choice (9), with answers

MC 1 [SAID IN CLASS]

Roughly what share of a product's final price sits in the channel?

- **✔ CORRECT: 30–50%**
- 5%
- 90%
- Under 1%

EXPLANATION

That's why Kahn calls Place so important, and why the channel often makes more than the brand (BeWood).

MC 2 [SAID IN CLASS]

'Double marginalization' means:

- **✔ CORRECT: Each middleman adds its own markup, so the customer pays more and each party earns less total profit**
- The brand earns two margins
- Margins double when going direct
- Retailers split one margin

EXPLANATION

It's the biggest disadvantage of selling through intermediaries.

MC 3 [SAID IN CLASS]

A key ADVANTAGE of selling direct-to-consumer is:

- **✔ CORRECT: You own the customer data and keep the full margin and control**
- It's easy to scale
- Customers can compare brands side by side
- Someone else does the logistics

EXPLANATION

The catch: direct is hard to scale and you do all the logistics yourself.

MC 4 [SAID IN CLASS]

When Nike pulled out of many stores to push direct sales, what happened?

- **✔ CORRECT: Shoppers bought HOKA, On, and New Balance in those stores instead of going to Nike.com**
- Sales doubled online
- Retailers raised Nike's prices
- Nothing changed

> **EXPLANATION**
> Nike assumed customers would follow it online; they switched brands. It also under-innovated, and in 2024 it rebuilt wholesale.

MC 5 [SAID IN CLASS]

How did Tesla get around powerful US car-dealer laws?

- **✔ CORRECT: It argued it's a tech company, 'not a car'**
- It bought all the dealers
- It sold only on Amazon
- Dealers invited it

> **EXPLANATION**
> Shows how powerful channel members can be.

MC 6 [SAID IN CLASS]

Kahn said 'who owns the data' in a channel partnership is:

- **✔ CORRECT: A critical negotiation point, because the data is where differentiation comes from**
- Irrelevant
- Always the retailer
- Always the brand

EXPLANATION

Example: Amazon often knows more about a brand's customers than the brand does.

MC 7 [SAID IN CLASS]

In retail assortment, 'breadth' and 'depth' mean:

- **✔ CORRECT: Breadth = number of categories; depth = number of choices within a category**
- Breadth = stores; depth = inventory
- Breadth = prices; depth = quality
- Breadth = online; depth = offline

EXPLANATION

Both are simulation decisions, and both tie up cash in inventory.

MC 8 [SAID IN CLASS]

Kahn said many retailers in the 'retail apocalypse' failed because they:

- **✔ CORRECT: Opened too many stores, held too much inventory, and took on too much debt**
- Advertised too little
- Priced too low
- Sold too many private brands

EXPLANATION

The simulation models exactly this: debt raises WACC and lowers market value.

MC 9 [SAID IN CLASS]

Kirkland (Costco) is a:

- **✔ CORRECT: Private (store) brand**
- National brand
- Mono-brand retailer
- Endorsed brand

EXPLANATION

National brands = Coke, Dior. In the simulation, going 100% private brand ≈ becoming mono-brand.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

A strong consumer brand is considering moving most of its sales to direct-to-consumer. Compare the benefits and risks, using Nike.

What a full-credit answer covers

- DTC benefits: full margin (no double marginalization), control, own the data, CLV
- DTC risks: hard to scale, logistics, acquisition is hard, customers want to compare
- Nike story: 2020 DTC/CLV → cut wholesale → HOKA/On/NB → under-innovation → 2024 rebuild
- Channel power/data ownership as negotiation points
- Recommendation: hybrid / it depends

MODEL ANSWER

Going direct removes double marginalization, keeping the 30–50% of price that otherwise goes to the channel. It also gives control over price and experience, and the customer data that powers CLV programs. But it's hard to scale, puts logistics on your own balance sheet, makes acquiring new customers costly, and may not fit how customers decide, since many want to compare brands in a store. Nike shows the risk. In 2020 it bet on DTC and CLV and pulled out of many retailers, including running stores. Shoppers didn't follow it online; they bought HOKA, On, and New Balance right there, while Nike's innovation slipped. In 2024 it rebuilt wholesale. I'd recommend a hybrid: DTC for data and relationships, key retail partners for reach, with clear agreements on data ownership and pricing.

SHORT ANSWER 2 (9 points)

Why did Prof. Kahn call Place her 'favorite P' today? Explain with examples of channel strategy.

What a full-credit answer covers

- Used to be operational/supply chain; now where differentiation and creativity happen
- Mature categories → go-to-market and experience matter more than the product
- 30–50% of price in the channel; channels do selling, assortment, pricing, experience
- Examples: Sephora vs Macy's; DTC brands moving to wholesale; luxury moving direct; Tesla
- Data ownership / power

MODEL ANSWER

Place used to feel like logistics and supply chain, not 'real' marketing. But in mature categories where products are similar, how you go to market has become the main way to stand out. The customer experience around the product can matter more than the product. Channels hold 30–50% of the final price, and they do the selling, education, assortment (breadth and depth), final pricing, and promotions. Sephora sells the same beauty products as Macy's but wins through the experience. DTC brands like Bonobos moved into Nordstrom and Amazon to scale, while luxury brands pulled back to direct or store-within-store for control. Tesla even got around dealer laws. Who owns the customer data has become a key strategic question.

SHORT ANSWER 3 (9 points)

Explain double marginalization and channel conflict, and how they affect pricing decisions.

What a full-credit answer covers

- Double marginalization: each member marks up separately → higher end price, lower total profit
- Channel often earns more than the brand (BeWood)
- Channel conflict: power struggles (car dealers vs OEMs; Amazon)
- Less control of price and experience through intermediaries
- Responses: direct, partnerships, aligned margins (Acuvue ECP example), data agreements

MODEL ANSWER

When a product passes through several intermediaries, each adds its own markup without coordinating. The customer ends up paying more and each party earns less total profit: double marginalization. Often the channel makes more than the brand, as in BeWood. Channel conflict is the power struggle over who controls price, the customer, and the data. US car dealers are so powerful that Tesla had to argue it isn't a car company to sell direct, and brands say of Amazon 'can't live with them, can't live without them.' Brands therefore control final prices less. Responses include going direct, aligning margins so the channel wants to push your product (like cutting the price to eye doctors in the Acuvue example), and negotiating data ownership.